

PUBLIC VERSION

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

COMPLAINANT PELOTON INTERACTIVE, INC.'S
PROPOSED FINDINGS OF FACT

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Pursuant to 46 C.F.R. § 502.214, Complainant Peloton Interactive, Inc. (“Peloton”) submits the following Proposed Findings of Fact (“PFF”) in support of its Initial Brief:¹

I. INTRODUCTION

1. On May 8, 2024, pursuant to 46 U.S.C. § 41301, Peloton filed its Verified Complaint (“Compl.”) against Respondent Flexport International LLC (“Flexport”) (collectively, the “Parties”) alleging that Flexport failed to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Peloton merchandise, in violation of multiple sections of the Shipping Act of 1984, 46 U.S.C. § 40101, et. seq., as amended (the “Shipping Act”). A_0001-0012, Compl. ¶¶ 10-47.

2. On June 17, 2024, Flexport filed a motion to dismiss (“First MTD”) arguing, among other things, that Peloton’s complaint failed to allege sufficient facts in support of its claims. A-0014, First MTD ¶ 1.

3. On September 25, 2024, the Presiding Officer deferred ruling on Flexport’s motion and directed Peloton to provide more detailed allegations in an amended complaint. A-0032, Order Deferring MTD at ¶ 4.

4. On October 2, 2024, Peloton filed its Verified Amended Complaint (“Am. Compl.”), addressing the issues raised in the Order Deferring Motion to Dismiss and detailing over \$30 million in wrongful demurrage and detention charges (“D&D”).² A-0047, Am. Compl. ¶ 59.

¹ Citations to information in the record are contained in the Appendix (“App.”). The PFF is submitted today per the June 30, 2025 “Order Granting Emergency Unopposed Motion to Extend Time to File Briefs on Pending Motions and Complainant’s Unilateral Status Report and Amending Scheduling Order,” providing that Complainant’s “brief, proposed findings of fact, and appendix” were due August 14, 2025.

² This includes 8,191 invoices.

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5. In connection with Flexport's carriage of Peloton Shipments, Peloton's Verified Amended Complaint alleges three separate counts in violation of the Shipping Act:

- a. Violations of 46 U.S.C. § 41102(c) – Unjust and Unreasonable Practices in Handling Property. A-0044-0046, Am. Compl. ¶ 43-50.
- b. Violations of U.S.C. § 41104(a)(15) – OSRA – Invoice Violations. A-0046, Am. Compl. ¶ 51-55.
- c. Violations of 46 U.S.C. § 41104(a)(14) – OSRA – Unreasonable Charges. A-0047, Am. Compl. ¶ 56-58.

6. Peloton's Verified Amended Complaint seeks reparations from Flexport in connection with the payment of more than 3,200 D&D charges related to 8,191 invoices between 2020 and 2022. A-0044, Am. Compl. ¶ 47.

7. On October 24, 2024, the Presiding Officer denied Flexport's Motion to Dismiss and required Flexport to file an Answer by October 29, 2024. A-0245, Order Denying MTD at 1.

8. On October 29, 2024, Flexport filed its Answer. *See generally* A-0051-78, Verified Answer.

9. Peloton's direct damages in connection with the more than 3,200 charges that were improperly passed on to Peloton by Flexport have been calculated to total \$33.7 million. D-1469-1589, Expert Report of Gregory E. Smith, Exhibit 1 ("Smith Expert Report"); D-1656-1727, Supplemental Expert Report of Gregory E. Smith ("Smith Suppl. Expert Report").

10. Peloton initially sought a cease-and-desist order to prevent Flexport from engaging in further unlawful conduct but subsequently withdrew the request due to the cessation of its business relationship for drayage services. A-0246-0047, Peloton's Status Report at 1-2.

11. In addition to its direct damages, Peloton also seeks to recover its attorney fees, along with pre- and post-judgment interest. A-0048, Am. Compl. Wherefore Clause ¶ 2; D-1444, Smith Expert Report ¶ 39.

II. THE PARTIES

A. Complainant Peloton Interactive, Inc.

12. Peloton is a Delaware corporation with its corporate headquarters located at 441 9th Avenue, 6th Floor, New York, NY 10001. A-0036, Am. Compl. ¶ 1.

13. Peloton is a “leading global fitness company with a highly engaged community of Members, which [Peloton] defines as any individual who has a Peloton account through a paid Connected Fitness Subscription or a paid App Subscription, inclusive of the Peloton App One and App+ Memberships and the Strength+ App Membership, and completes one or more workouts in the trailing 12 month period.” A-0036, Am. Compl. ¶ 2.

14. Peloton’s “Connected Fitness Products portfolio includes the Peloton Bike, Bike+, Tread, Tread+, Guide, Row, and various Precor products.” A-0036, Am. Comp. ¶ 2.

15. Due to the international nature of its manufacturing and product sales, Peloton regularly utilizes shipping and other logistics services to transport its materials and products, including containerized ocean shipping between the U.S. and foreign locations (“Peloton Containers”), and as relevant here, “non-vessel operating common carriers” (“NVOCCs”). A-0037, Am. Compl. ¶ 3.

B. Respondent Flexport International LLC

16. Flexport is a Delaware corporation with its principal place of business at 760 Market Street, 8th Floor, San Francisco, CA 94102. A-0037, Am. Compl. ¶ 4.

17. Flexport is an NVOCC pursuant to 46 U.S.C. § 40102(17) and is registered as such with the Federal Maritime Commission (“FMC”) under Org. No. 025219. A-0037, Am. Compl. ¶ 5.

18. As an NVOCC, Flexport is subject to the Shipping Act and the rules and regulations set by the FMC, which include fair and reasonable practices for detention and demurrage (“D&D”). D-0019-0020, Expert Report of Richard Roche (“Roche Expert Report”), ¶¶ 41-45.

19. As an NVOCC, Flexport did not own any of the assets or equipment that it used to transport Peloton Shipments. D-1740, Expert Report of John McCown, (“McCown Expert Report”) ¶¶ 53-56; B-0066, Flexport Dep. Tr. 143(b)(6) 66:4-6.

20. Flexport CEO Ryan Petersen has characterized the transportation industry as “old school” and “antiquated.”³ He has claimed that Flexport differentiates itself from “traditional” NVOCCs by offering new technological solutions that its competitors have never offered.⁴ See also B-0161, Flexport 143(b)(6) Dep. Tr. 161:2-5 (testifying that Flexport is “a NVOCC, but we’re also a tech company”), 163:10-12 (testifying the same); B-1283, Nable Dep. Tr. 32:22-23 (“Flexport is a freight forwarder, customs brokerage, and technology company.”); B-0295, B-0340, B-0366, B-0407, Tanner Dep. Tr. 26:1-2, 71:16-21, 97:20, 138:12-14 (“again, we try to automate as – absolutely as much as possible. That’s why we’re a tech company”).

³ *Flexport’s Ryan Petersen on returning as CEO, global logistics in a time of conflict & more | E1881*, 00:36:01, <https://www.youtube.com/watch?v=8SRCW3ls69k&t=3097s>; *The State of Trade: The Year Ahead in Supply Chains Flexport*, 00:49:46, <https://www.youtube.com/watch?v=vf72GoNZDAM> (last visited July 24, 2025).

⁴ *Flexport CEO on Tariff Drama, Supply Chain Conspiracies, and Hard-Earned CEO Wisdom*, 00:58:39, <https://www.youtube.com/watch?v=ab4xNHw-yGk> (“That’s kind of what’s unique about Flexport. We’re like tech plus human”) (Q: “Can you explain what Flexport does?” A: “Flexport is a technology platform for global logistics”) (last visited July 24, 2025).

21. Flexport CEO Ryan Petersen has claimed that Flexport is “unapologetically demand led, sales led, go get the customer, and tech is always playing catch up as it should be.”⁵

III. Flexport Held itself Out as an NVOCC capable of handling Peloton’s Shipments Under Store Door Terms

22. Flexport held itself out as a facilitator of store door cargo moves, stating on its website that it was “[y]our end-to-end supply chain” and capable of exercising end-to-end control over the transportation process.⁶ See C-0353-0368, Breck Dep. Ex. 11 (Advertising Materials); D-0010-0012, Roche Expert Report ¶¶ 1-10 (discussing that Flexport held itself out as providing “store door” service).

23. Flexport also advertises on its website that it “is the platform that coordinates global logistics from factory to customer door – empowering businesses to ship anywhere, sell everywhere and grow faster.”⁷

24. When an NVOCC moves a shipment under store door terms, the ocean carrier is responsible for arranging transport of a container from the delivery terminal to another location, such as a consignee warehouse. The NVOCC is responsible for the entire transportation process, including pickup, transit, and final delivery. D-0010, Roche Expert Report ¶ 1-2; D-1735, McCown Expert Report ¶¶ 30-33.

25. The terms “store door” and “port to door” are understood in the shipping industry to be interchangeable. B-1585, Peloton 143(b)(6) Dep. Tr. 98:5-8; B-3072, Roche Dep. Tr. 130:3-18; D-0010, Roche Expert Report ¶ 1.

⁵ *Building Global Trade Infrastructure with Ryan Petersen, Founder & CEO of Flexport* | S12E, 00:21:33, <https://www.youtube.com/watch?v=M1RXCX1PsFo>, (last visited July 24, 2025).

⁶ <https://www.flexport.com/> (last visited August 13, 2025).

⁷ <https://www.flexport.com/> (last visited June 24, 2025).

26. NVOCCs often use the term “port to door,” but this term is generally understood in the transportation industry to have the same meaning as “store door.” B-3103-3104, Roche Dep. Tr. 129:25-130:5; D-0016, Roche Expert Report ¶ 39.

27. The term “store door” is commonly used in the contracting world of ocean common carriers to refer to carrier haulage that includes door-to-door delivery service. D-0010, Roche Expert Report ¶ 1-2.

28. This concept is specifically addressed in Section “O” of the FMC’s Interpretive Rule, where the FMC explains that “[i]n a carrier haulage arrangement, also referred to as ‘store door’ delivery or a ‘door move’ or ‘door-to-door’ transportation, the ocean carrier is responsible for arranging transport of a container from the terminal to another location, such as a consignee warehouse. In other words, the ocean carrier provides drayage trucking....” D-0010, Roche Expert Report ¶ 1; B-3103-04, Roche Dep. Tr. 129:25-130:5. The Rule also mentions concerns regarding carrier haulage moves, “especially charging shippers demurrage on carrier haulage moves, under section 41102(c) and will closely examine them in an appropriate case.” D-0010, Roche Expert Report ¶ 1.

A. Flexport was Responsible for Moving Peloton Shipments Under Store Door Terms

29. Between 2020 and 2022, Peloton paid Flexport *more than* [REDACTED] *in charges* for transporting its cargo, of which a significant portion was ocean freight. D-1435, Smith Expert Report ¶ 14.

30. The Master Services Agreement (“MSA”) between Peloton and Flexport, Flexport’s shipping documentation, and Flexport’s conduct in arranging transportation demonstrate that Flexport bore responsibility not only for transporting Peloton’s cargo by ocean to U.S. ports, but also for managing the inland delivery of Peloton’s shipments to their final

destinations within the U.S. D-0011-0016, D-0018-0019, Roche Expert Report ¶¶ 6-8, 11-27; 36-40; *see, e.g.*, C-0238, Banaszak Dep. Ex. 10 (FLEX-1136147) (Port to Door Freight Quote); C-0236, Banaszak Dep. Ex. 9 (FLEX-1136147) (“Freight Type: Port to door” confirmation email); B-0852, B-0867-0869, Banaszak Dep. Tr. 98:25-99:6 (explaining that ocean transportation includes trucking), 113:25-115:10 (explaining that Flexport’s bill of lading doesn’t show the full transportation movement); C-0346, Breck Dep. Ex. 9 (FLEX-1136147) (Flexport Delivery Order to trucker).

31. Flexport’s Senior Director of Compliance Ryan Tanner testified that “[t]he true determination of what services we’re [Flexport] going to offer are what was requested by the client, which was quoted and accepted on that quote, are the services that we’re going to perform.” B-0409, Tanner Dep. Tr. 140:18-21.

32. Tanner acknowledged that Flexport “would have obligations at origin, along with transportation via steamship line, and then destination portions” and that “depending on the service type, we may have requested to handle inland drayage at destination to officiate delivery.” B-0408-0410, Tanner Dep. Tr. 139:25-140:6, 141:1-17 (testifying that Flexport facilitated moves “from the port to the main location, the door that the client would request us to do so . . . if it says door to door, we’re going to move this from door to door using our various services”).

B. The MSAs Between the Parties Used Store Door Terms

33. On June 1, 2020, the Parties entered into a MSA under which Flexport would oversee Peloton’s shipments on store door terms. C-0028-0043, Flexport 143(b)(6) Dep. Ex. 4. This arrangement made Flexport responsible for managing cargo throughout its entire journey—from origin, across the ocean, and to its final inland destinations in the U.S. C-0033, Flexport 143(b)(6) Dep. Ex. 4 at 6.

34. On July 1, 2021, the Parties entered a second MSA and related NSA relating to the majority of the shipments for which Peloton seeks reparations in this action. C-0044, Flexport 143(b)(6) Dep. Ex. 4.

35. The 2020/2021 MSAs served as NVOCC Negotiated Service Arrangements, stating the following: “*For purposes of FMC compliance this Agreement shall serve as the Negotiated Service Arrangement (NSA) pursuant to FMC regulation 46 CFR § 531.3 and Flexport FMC Tariff Rule 300.*” C-0037, C-0054, Flexport 143(b)(6) Dep. Ex. 4 at ¶¶17, 20; D-0012, Roche Expert Report ¶ 11.

36. The 2020 and 2021 MSAs indicate that Flexport would handle Peloton’s cargo using store door terms. Clause 11 specifies that Flexport would manage Destination Port drayage, Transloading to Full Truckload Shipments (FTL), and trucking or rail transport to the final destination:

Peloton’s preference is to use the same service provider as selected for Ocean services as the service provider for Destination Port drayage for Full Container Load (FCL), the Destination Port Transloading to Full Truckload Shipments (FTL), and FTL Trucking to the final destination; or Rail transport from Destination Port to Railyard near Distribution Center (DC) with FCL drayage to the final destination

C-0051, Flexport 143(b)(6) Dep. Ex. 4; D-0011, Roche Expert Report ¶ 7.

37. The MSAs do not distinguish inland transportation services between the Parties or provide that Flexport would act as a motor broker for inland transportation. B-0148-151, Flexport 143(b)(6) Dep. Tr. 148:1-151:10; *see also* C-0006-25, Flexport 143(b)(6) Dep. Ex. 2 (“Flexport & Peloton Operating Documentation for shipments in the US and Canada” where there is no reference to Flexport acting as a motor broker).

38. The MSAs designated “Lane Ids” for each route from port of origin to port of destination, explicitly referenced port-to-door transportation services, and outlined the associated inland trucking rates. C-0060-0063, Flexport 143(b)(6) Dep. Ex. 4 at Internal Ex. B.1.

39. Flexport’s practices of pricing both the ocean and inland modes of transportation for Peloton cargo and orchestrating and performing the entire water and inland movements of Peloton cargo are consistent with the industry definition of a store door move. D-1739, McCown Expert Report ¶ 52; *see also* C-0238, Banaszak Dep. Ex. 10, Freight Quote (Port to Door); C-0236, Banaszak Dep. Ex. 9 (confirmation email “Freight Type: Port to door”); B-0852-0853, B-0867-0869, Banaszak Dep. Tr. 98:25-99:6 (ocean transportation includes trucking), 113:25-115:10 (Flexport’s bill of lading doesn’t show the full transportation movement).

C. Flexport’s Shipping Documentation and Operational Practices Demonstrate that Peloton’s Shipments Were Handled under Store Door Terms

40. Peloton initiated each shipment by requesting a quote from Flexport for specific services. B-0068, Flexport 143(b)(6) Dep. Tr. 68:20-23.

41. When Peloton booked a shipment with Flexport, Flexport emailed a booking confirmation to Peloton that identified the freight type as “port to door.” *See e.g.* C-0236, Banaszak Ex. No. 9 (FLEX-1136147). The email also included an attachment with a detailed quote for port-to-door service, specifying transit times from origin to final destination. D-0010, Roche Expert Report ¶ 4; *see e.g.* C-0238, Banaszak Ex. 10; B-0850-0851, B-0852, Banaszak Dep. Tr. 96:21-97:1, 98:12-17.

42. Peloton expected that Flexport would, for each such shipment, provide industry standard store door service on both ocean transportation and domestic drayage legs, including coordinating each leg of the shipment and mediating any delays associated with the movement of

the containers. D-0011, Roche Expert Report ¶ 9; B-1935-1936; Majstorovic Dep. Tr. 97:21-25. A-0037, Am. Compl. ¶ 17.

43. Flexport employees believed that when arranging the transportation of Peloton Shipments, Flexport was responsible for the entire movement (inland and ocean). B-0048, B-0051, Flexport 143(b)(6) Dep. Tr. 48:6-7; 51:2-8 (testifying that Flexport provided “end-to-end logistics support, including moving cargo” and confirmed that such support “typically involved a shipment of Peloton cargo originating in an overseas location and ending up at a Peloton warehouse or other inland location in the United States”); B-0859, Banaszak Dep. Tr. 105:19-22 (testifying that Flexport used the terms “port-to-door” and “door-to-door” but that those terms are driven by “door Incoterms” that include drayage and other accessories); B-0054-0055, Peckham Dep. Tr. 56:7-57:4 (testifying that “depending on what Peloton had instructed, Flexport would issue a delivery order to a trucking partner of our choosing, of Flexport’s choosing, to deliver the container and its cargo to Peloton’s designated point of delivery”).

44. Flexport used its own subcontractors, including truckers and vessel carriers, to arrange intermodal transportation to facilitate the movement of Peloton Shipments. *See* B-0055, Flexport 143(b)(6) Dep. Tr. 55:6-14; 89:10-90:9; B-0777-0078, B-0802, B-0811, B-0829-0830, Banaszak Dep Tr. 23:24-24:6, 48:4-7, 57:12-17, 75:22-76:2; D-0014-0015, Roche Expert Report ¶¶ 5, 8; D-1734, McCown Expert Report ¶ 27.

45. Flexport contracted with three primary ocean carriers—YangMing Marine Transport Co, COSCO Shipping Lines Co., Ltd., and Evergreen Shipping Agency (America) Corp.—and thirty-six trucking companies to move Peloton Shipments. *See* A-0154-0240, Ex. A to Am. Compl.; A-0135, Peloton’s Status Report at 6.

46. The relationships with the subcontractors, including the contractual relationship itself and all direction and coordination, were managed entirely by Flexport on Peloton's behalf. B-0771, B-0925-0927, B-0590, Banaszak Dep. Tr. 17:3-14, 171:2-8, 172:21-173:5, 173:13-20, 196:9-12; B-1688, Peloton 143(b)(6) Dep. Tr. 201:2-7 ("Flexport would have direct communications with the carriers and set the rates directly with their underlying carriers").

47. Peloton was not a party to Flexport's contracts with truckers, vessel carriers, or other subcontractors and was completely reliant on Flexport to manage those arrangements. B-0060, B-0089, Flexport 143(b)(6) Dep. Tr. 60:23, 89:10-20 ("[f]or the containers that Peloton contracted with Flexport to move, as an NVOCC, we are a contractor carriage. Flexport contracted with the master carrier for the ultimate movement of the goods, physical movement of the goods"); B-1687, Peloton 143(b)(6) Dep. Tr. 200:5-16 ("Acting in their capacity as an NVOCC, Flexport would have had and made the arrangements directly with the underlying carriers...[w]e did not interact with the underlying carriers").

48. Flexport made all decisions related to usage of its subcontractors: if shipments should be transloaded at Flexport warehouses, when pick-up appointments should be made, where chassis could be sourced, if free time could be waived or extended, and which trucking company should be used. B-0054-0055, Flexport 143(b)(6) Dep. Tr. 54:6-55:20; B-0410, Tanner Dep. Tr. 141:1-17; B-0925, Banaszak Dep. Tr. 171:9-14.

49. Flexport even determined the ports where Peloton Shipments would be sent. B-0919, Banzasak Dep. Tr. 165:1-25.

50. Flexport, as the NVOCC, obtained allocations and dedicated space on ocean vessels for clients such as Peloton. B-0905-0906, Banzasak Dep. Tr. 151:18-152:2.

51. When Peloton Shipments arrived at marine terminals, they remained under the care and custody of master carriers with whom Flexport contracted. B-0089-0090, Flexport 143(b)(6) Dep. Tr. 89:22-90:9.

52. Flexport subsequently hired, paid, communicated with, and issued instructions and delivery orders to truckers to pick up Peloton's containers from the marine terminal and deliver them to Peloton's designated delivery location. B-0052, B-0055, Flexport 143(b)(6) Dep. Tr. 52:6-10, 55:7-10; B-0915, Banaszak Dep. Tr. 161:1-3; *see e.g.* C-0346, Breck Dep. Ex. 9.

53. Flexport had the ability to influence whether its truckers would free up capacity for Flexport customers. E-0022, FLEXPOR 00007747 (Flexport recorded under "WIP learnings" that "JC transport will fire some customers and free up capacity if we ask").

54. Flexport had the ability to influence whether its truckers prioritized Peloton Shipments in order to reduce detention charges. E-0023-0029, FLEXPOR 000016879-16885 (Flexport asking JCT to prioritize unloading the list in storage and return empties because "we'd like to stop the clock on additional detention charges as soon as possible").

55. Flexport tracked each stage of every shipment, monitoring key milestones such as the cargo ready date, container pickup at the origin, and delivery to the departure port. B-1048, Breck Dep. Tr. 69:21-22 ("Our data that we have stems from carrier integration, terminal integrations."). The company maintained detailed records as containers moved through various locations—whether at sea, on rail, or at intermediary ports—until reaching their final U.S. destinations. B-0365, Tanner Dep. Tr. 96:1-17; B-1078-107:9, Breck Dep. Tr. 99:23-100:19. Important dates—including the container's gate-out, last free day at the port, final delivery to the customer, and the empty return date—were all logged in the Flexport platform by Flexport employees. B-1049, Breck Dep. Tr. 70:7-14.

56. Flexport's trucking partners provided real-time shipment status updates through Flexport's Transmission platform. Information entered by truckers was submitted electronically using the Transmission system. A-0242, Declaration of Ryan Tanner ("Tanner Decl.") ¶¶ 9-12. This data then flowed directly into Flexport's core logistics platform, ensuring every update was promptly recorded and accessible. F-0063-0065, Peloton v. Flexport; Subpoena.

57. Although Peloton would occasionally communicate directly with a trucker regarding final-end delivery, this was only facilitated through Flexport's contractual relationship with the trucker. B-0064-0065, Flexport 143(b)(6) Dep. Tr. 64:23-65:2-8 (testifying that Flexport required its truckers to work with Peloton on delivery, because it was part of the services that Flexport contracted for with its truckers).

58. Flexport expressly told Peloton that their truckers would not work directly with Peloton. E-0030-0031, FLEXPORT 00000985 (email from Reid Breck (Flexport) to Angad Gadhok (Peloton) stating, "[d]ue to the motor carrier agreements in place and conflict of interest our core carriers will not work directly unfortunately").

59. For each of Peloton's shipments, Flexport issued an invoice that charged both ocean and inland freight, as well as D&D, based on Flexport's tariff. C-0139-41, Tanner Dep. Ex. 10 (Flexport's Detention Tariff); C-0136-0038, Tanner Dep. Ex. 9 (Flexport's Demurrage Tariff); C-0108, Flexport 143(b)(6) Dep. Ex. 9 (consolidated invoice); C-0171, Peckham Dep. Ex. 8 (Flexport consolidated invoices); C-0192-0096, Peckham Dep. Ex. 12 (email discussing Flexport's invoicing discrepancies).

60. Flexport directly billed and collected all charges from Peloton for Peloton Shipments, including any additional fees related to the shipments. B-0565-0566, Peckham Dep. Tr. 67:13-68:14; B-0781, Banaszak Dep. Tr. 27:11-14.

61. Peloton did not receive invoices directly from Flexport’s service providers for any charges; all billing was handled exclusively by Flexport. B-0565-566, Peckham Dep. Tr. 67:13-68:14; B-0781, Banaszak Dep. Tr. 27:11-14.

IV. NVOCCs, Including Flexport, Began Experiencing Significant Supply Chain Disruptions During the Pandemic

62. Between 2020 and 2022, supply chain disruptions accelerated and brought attention to longstanding issues with the flow of cargo and the assessment of D&D charges by ocean carriers. *See* Fact Finding No. 29 Final Report.

63. Under Commissioner Rebecca Dye, the FMC began actively investigating D&D practices, including through Fact Finding No. 28. <https://www.fmc.gov/detention-and-demurrage/>.

64. By May 18, 2020, the findings from Fact Finding No. 28 prompted the issuance of the Interpretive Rule on Demurrage and Detention under the Shipping Act. Interpretive Rule, 85 Fed. Reg. 29638, <https://www.federalregister.gov/documents/2020/05/18/2020-09370/interpretive-rule-on-demurrage-and-detention-under-the-shipping-act> (the “Interpretive Rule”).

65. The Interpretive Rule established the “Incentive Principle,” which explained how the FMC viewed existing precedent and principles of reasonableness as applied to D&D. *Id.* at ¶ III.B.4.e. D-0019-21, Roche Expert Report ¶¶ 40, 48, 49.

66. The Incentive Principle reflects the statutory mandate of 46 U.S.C. § 41102(c), which requires that a common carrier, marine terminal operator or ocean transportation intermediary “may not fail to establish, observe, and enforce just and reasonable regulations and practices” related to the handling and delivery of cargo. 46 U.S.C. § 545.5(a).

67. The Interpretive Rule states that D&D “are valuable charges when applied in ways that incentivize cargo interests to move cargo promptly from ports and marine terminals,” and that

“[a]ll international supply chain actors could benefit from transparent, consistent, and reasonable demurrage and detention practices, which would improve throughput velocity at U.S. ports, allow for more efficient use of business assets, and result in administrative savings.” Fact Finding No. 28, Final Report at 32.

68. The FMC adopted the Interpretive Rule as a formal standard to provide clarity and consistency in evaluating D&D practices and to reinforce the FMC’s commitment to ensuring that D&D practices are fair and reasonable. Fact Finding No. 28, Final Report at 32.

69. On March 31, 2020, the Commission also undertook Fact Finding No. 29 in order to identify operational solutions to cargo delivery system challenges related to COVID-19. Fact Finding No. 29, Final Report at 4.

70. In Fact Finding No. 29, the Commission confirmed that the Interpretive Rule serves as a binding framework for evaluating whether demurrage and detention practices are reasonable under 46 U.S.C. § 41102(c). Fact Finding No. 29 Final Report at 46.

71. In the Commission’s final report for Fact Finding No. 29, it stated that the “Interpretive Rule *is not merely guidance*. We have issued several ‘guidance statements’ as part of Fact Finding 29, and they are useful regulatory tools. But the Interpretive Rule acts as the ‘interpretation’ of demurrage and detention charges as potential ‘unreasonable practices’ under section 41102(c) of Title 46, United States Code. *The Interpretive Rule is the basis for Commission investigations of potential violations of section 41102(c) against ocean carriers for unreasonable practices regarding demurrage and detention.*” Fact Finding No. 29, Final Report at 46. (emphasis added).

72. During the COVID-19 pandemic, U.S. ports were suffering from supply chain disruptions from multiple causes, including “COVID-19, extreme weather events and the blockage

of the Suez Canal.” D-1435, Smith Expert Report ¶ 15. These disruptions were also caused by a “shortage of truck drivers and truck chassis.” D-1435, Smith Expert Report ¶ 16; B-0387, Tanner Dep. Tr. 118:6-14.

73. The FMC took note of these supply chain issues and their impact on demurrage and detention. Fact Finding 29, Final Report at 45.

74. During the COVID-19 pandemic, increased D&D charges reflected supply chain issues that affected ports and shippers across the U.S. D-1435, Smith Expert Report ¶ 15.

75. For example, “during the period between 2020 and 2022, Peloton incurred demurrage and detention charges from Flexport totaling \$795,000 in 2020, \$19.8 million in 2021, and \$9.4 million in 2022.” D-1435, Smith Expert Report ¶ 15.

76. Flexport recognized that it was responsible for navigating port congestion to remove Peloton’s containers by employing measures such as communicating and partnering with marine terminals, booking shipments with ocean carriers going to less congested ports, and designing “bots” to detect empty return and appointments slots. E-0022, Flexport 00007747 (Flexport’s “Port Congestion Tactical Action” Plan).

77. A cross-functional team at Flexport met daily to discuss specific bottleneck categories: Monday – Trucking; Tuesday – Ocean carriers; Wednesday – Terminal; Thursday – Warehouse/Transloads, Client; and Friday – Yard Space/Chassis. E-0022, Flexport 00007747.

78. Despite widespread congestion and known logistical bottlenecks during the relevant period, Flexport continued to accept Peloton’s bookings without limitation. E-0022, Flexport 00007747 (noting “we have no marketplace inventory so trans loads are sold without taking into account limited capacity. Demand runs wild with this” and “Our Alternative of Carrier cuts and booking acceptance stops is not an option”).

79. For example, under the bottleneck category “Ocean Carrier,” the cross-functional team was tasked with “clear prioritization of carrier containers pickup based on total volume cut and booking stop impact/risk.” E-0022, Flexport 00007747.

80. In fact, Flexport continually sought additional capacity for Peloton, even while other NVOCCs and carriers were rejecting bookings—and even while Flexport itself was rejecting shipments from other customers. B-0875-0876, B-0940-0941, Banaszak Dep. Tr. 121:14–122:9, 186:6–187:1.

81. Despite the pandemic-related supply chain issues, Flexport continued to assess D&D to Peloton based on its tariffs, NSAs, and contracts. B-0387-0391, Tanner Dep. Tr. 118:25-122:11 (“[I]t wouldn’t have mattered if there was a pandemic or otherwise.”).

V. Unjust and Unreasonable Practices

A. Flexport’s Failure to Apply the Incentive Principle in D&D Charges

82. Flexport considered the Incentive Principle to be a “guideline”.

Q. Does the FMC’s incentive principle have any bearing for the reason on Flexport’s charges for the demurrage assessed on Peloton?

A. I’m glad you brought up the incentive principle because we, at Flexport, haven’t used the incentive principle as a defense. ***We can talk to the incentive principle. It’s a guideline. But the incentive principle is there for the FMC.*** They implemented the incentive principle so a detention and demurrage can be used to help ensure the free-flowing movement of freight. The FMC has the incentive principle so that carriers can utilize detention and demurrage to ensure that freight moves. So does the incentive principle come into play when we are determining whether to assess detention and demurrage? We follow every one of the FMC’s rules and regulations when it comes to the assessment of demurrage, ***and if the incentive principle and the guidelines were to come into play, then, yes, we would look at that***

B-0179, Flexport 143(b)(6) Dep. Tr. 179:8-25.

83. Flexport employees who were directly responsible for assessing and charging D&D testified that they did not receive training on the Incentive Principle or Interpretive Rule. B-0779,

B-0781, Banaszak Dep. Tr. 25:22-24; 27:11-14 (testifying that he never received any training from Flexport on the Incentive Principle, despite managing the operations team that handled invoices for D&D charges); B-0715, Peckham Dep. Tr. 217:2-14; B-1330, Nable Dep. Tr. 79:4-5.

84. The only employee training materials produced by Flexport were four partial videos, each approximately one minute long, on the topics of Demurrage, Detention, Empty Returns and Proofs of Delivery, and Arrival/Delivery Review, none of which discuss the Incentive Principle or specific factors for employees to consider in assessing the reasonableness of D&D charges. E-0034, Flexport Demurrage Training Video (produced by Flexport without bates numbering); E-0261, Detention Training Video; E-0262, Empty Returns and PODs Training Video; E-0263, Overview Training Video.

85. Flexport's detention training video expressly states that Flexport "should try to avoid detention as much as possible, as the daily charges will grow to become costly and the client will need to pay." E-0261, Flexport Detention Training Video (produced by Flexport without Bates numbering).

86. Flexport's evaluation of D&D charges and decisions to dispute carrier-issued D&D invoices were limited almost exclusively to instances involving data entry errors. B-0632, Peckham Dep. Tr. 134:2-9 ("[A] common practice would be to make sure that the data within Core [sic] is accurate. So there might be a date that's wrong or something like that if you see a charge that doesn't look right."). B-0633-0635, Peckham Dep. Tr. 135:19-137:3; B-0166-0167, Flexport 143(b)(6) Dep Tr. 166:21-167:25.

87. Rather than proactively addressing or disputing D&D charges with service providers, Flexport delegated this responsibility to its truckers. Flexport relied on the truckers to evaluate the validity of the charges and to challenge them when necessary, instead of handling this

responsibility itself. A-0242, Tanner Decl. ¶¶ 9-12; B-0216-0217, Flexport 143(b)(6) Dep. Tr. 216:18-217:18.

88. Flexport assumed that Peloton was responsible for D&D charges in all circumstances. B-0668, Peckham Dep. Tr. 170:7-16 (Q. So how would you determine if Peloton was responsible for detention and demurrage charges? A. I mean, *the assumption is it is their responsibility always.*) B-0192-0193, Flexport 143(b)(6) 192:9-193:8.

B. Flexport's Unreasonable Application of D&D Charges under Its Tariff and Questions of Reasonableness

89. NVOCCs are required by the FMC to publish and maintain publicly accessible tariffs that detail all rates, charges, classifications, rules, and practices for their ocean freight services. 46 C.F.R. § 520.3.

90. Flexport publishes its tariff through the tariff publisher Distribution Publications, Inc. FMC OTI List, <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=oti>.

91. Flexport's practices related to D&D charged pursuant to its rules tariff are regulated by the FMC. D-0019, Roche Expert Report ¶ 43; D-1740, McCown Expert Report ¶¶ 53, 55.

92. Under Flexport's rules tariff, Flexport does not pass through D&D charges from service providers. Instead, it applies its own D&D rates and charges to customers like Peloton. B-1045, Breck Dep. Tr. 66:5-12; B-0154, Flexport 143(b)(6) Dep. Tr. 154:6-11.

93. Flexport's D&D rates were higher than those of most vessel-operating common carriers. D-1742, McCown Expert Report ¶ 61; D-0021, Roche Expert Report ¶ 51. As a result, Flexport applied markups on D&D charges ranging from 19% to 29% under its tariff and passed the charges directly to Peloton without any inquiry or oversight. D-1742, McCown Expert Report, ¶ 61 (Flexport's tariff was between 19%-29% higher than the vessel carrier ZIM); D-0025-D-0026, Roche Expert Report ¶¶ 65-67.

94. If the D&D charges invoiced by service providers surpassed Flexport's own D&D rates, Flexport passed these excess costs onto its customers, including Peloton. *See* C-0136, Flexport Demurrage Tariff, Note 1 ("If demurrage charges invoiced by the underlying ocean carrier exceed charges provided herein, all additional charges incurred will be for the account of the cargo."); C-0140, Flexport Detention Tariff, Note 2 ("If detention charges invoiced by the underlying ocean carrier incurred will be for the account of the cargo"); D-1744-D-1745, McCown Expert Report ¶ 68.

95. This model allowed Flexport to not only recover costs, but also profit from the D&D charges imposed, mitigate its own risk, and offload costs onto its customers, including Peloton. D-0011, Roche Expert Report ¶¶ 54–55; D-1745, McCown Expert Report ¶ 70.

96. Flexport's tariff model eliminates any risk from discrepancies in free time by defining the last free day as whichever date is used by the carrier or terminal billing Flexport. D-1744-45, McCown Expert Report ¶ 68; B-0172, Flexport 143(b)(6) Dep. Tr. 172:4-18.

97. Flexport's D&D rates were untethered from any actual cost incurred. B-0165, Flexport 143(b)(6) Dep. Tr. 165:6-18 ("It doesn't matter what underlying carrier or port that Flexport uses That one set demurrage rule and tariff rate that is not impacted, regardless, regardless of what the underlying carrier is"); D-1742-43, McCown Expert Report ¶ 61 (Flexport's tariff was between 19%-29% higher than the vessel carrier ZIM), ¶ 64 ("Peloton's actual experience with Flexport resulted in demurrage and detention invoices relative to revenue that were 17.7 times higher than the overall industry experience").

C. Flexport's Tariff Is Inconsistent with Statutory Law and FMC Procedure

98. Flexport automatically charged Peloton for D&D generated by its rules tariff in the same way for port-to-door, door-to-door, and port-to-port services. B-0408, Tanner Dep Tr. 139:1-16.

99. Flexport was obligated to adhere to the Shipping Act and FMC regulations with regard to its D&D practices. D-0019-0020, Roche Expert Report ¶¶ 41-45; D-1740, McCown Expert Report ¶¶ 53, 55.

100. However, Flexport followed its rules tariff in all circumstances. B-0171, Flexport 143(b)(6) Dep. Tr. 171:1-6 (“The term policy, as I use it – and I’m a stickler for that one – no. Our policy on the assessment of demurrage is our rules tariff. That is our policy. The policy of which we play by is our rules tariff and the FMC regulations. There is nothing needed more than that”); B-0377, Tanner Dep. Tr. 108:9-15 (“Again, based on the way that we built our platform, we don’t necessarily have a policy because we relied on our rules tariff, which the logic of our rules tariff is built into our platform hard-coated (sic) with guard rails to ensure compliance. So no, we didn’t necessarily need or require a new internal policy”).

101. Flexport did not modify the fees it charged for D&D under its own rules tariff in light of the congestion and other circumstances arising from the pandemic. B-0447, Tanner Dep. Tr. 178:15-20; B-0086, Flexport 143(b)(6) Dep. Tr. 86:13-25.

102. Flexport’s 143(b)(6) Corporate Designee testified that Flexport considered itself to have met its FMC obligations so long as it was charging D&D based upon its tariff, regardless of the reason behind the D&D charges or who was at fault. B-0170-0172, B-0175-0176, Flexport 143(b)(6) Dep. Tr. 170:21-172:18, 175:2-176:24; B-0377, B-0386-B-0391, Tanner Dep. Tr. 108:9-15, 117:22-122:11 (“Detention and demurrage charges would have been assessed based on

our rules tariff, NSA, or contracts in line with the FMC regulations and Incentive Rule. ***So it wouldn't have mattered if there was a pandemic or otherwise.*** The regulations are set in stone. That's what they are.") (emphasis added).

103. Flexport had the ability to extend free time using the operational tools at its disposal, including contracting with truckers, utilizing staging yards, and leveraging relationships with its subcontractors like JC Transport, which had a proven track record of resolving logistical challenges to evaluate the reasonableness of its D&D charges. B-0839, B-0927, B-0941, Banaszak Dep. Tr. 85:9-16; 173:16-21; 187:17-188:8; B-0175, Flexport 143(b)(6) Dep. Tr. 175:14-17.

104. However, even when Flexport had a clear opportunity to extend free time on Peloton's behalf to avoid D&D charges, such as when the underlying carrier granted an extension, it failed to do so. *See* C-0101, Flexport 143(b)(6) Dep. Ex. 7; Flexport 143(b)(6) Dep. Tr. 170:21-171.

105. For example, in July 2021, JC Transport—Flexport's designated trucker for retrieving containers ZCSU8783052 and ZCSU7213374—alerted the terminal to pick-up issues and requested an extension of the last free day ("LFD"). C-0101, Flexport 143(b)(6) Dep. Ex. 7 at 5. ZIM, the underlying ocean carrier, granted the extension in coordination with the terminal. C-0097-98, Flexport 143(b)(6) Dep. Ex. 7 at 1-2. However, Flexport failed to pass this extension on to Peloton and instead imposed demurrage charges totaling \$7,240 and \$3,640, respectively. E-0001, Aggregate Shipment Details; B-0216-0217, Flexport 143(b)(6) Dep. Tr. 216:18-217:18.

106. The extension granted by ZIM was neither reflected in the documentation provided to Peloton nor visible on the Flexport platform, leaving Peloton unaware of the additional free time and exposed to improperly assessed charges. E-0001, Aggregate Shipment Details; B-0223-0224, Flexport 143(b)(6) Dep. Tr. 223:10-227:21. These charges were assessed despite conflicting

internal records regarding actual pick-up and delivery dates, and without regard to whether Peloton or its agents were at fault. E-0001, Aggregate Shipment Details; B-0216-0217, Flexport 143(b)(6) Dep. Tr. 216:18-217:18.

107. Flexport did not have an internal policy on how to process free time extension requests from their customers. B-0449, Tanner Dep Tr. 180:1-4.

D. Flexport Imposed D&D Charges on Peloton Without Evaluating Their Legitimacy

108. By choosing to publish its own D&D rates pursuant to a rules tariff, Flexport elevated its responsibilities with respect to invoicing D&D charges to the same level of responsibility required of VOCCs and was subject to heightened standard of care related to the assessment of D&D. D-0021, Roche Expert Report ¶ 51; *see also* D-2484-2485, Roche Rebuttal Report ¶ 54.

109. This standard required Flexport to actively evaluate whether the charges were fair under the circumstances, which included considering waivers, tolling the D&D clock, or otherwise mitigating unreasonable accruals. D-0018, D-0020, D-0023-24 Roche Expert Report, ¶¶ 35, 45, 60; D-1740, McCown Expert Report ¶ 55, 46 CFR Part 520.

110. Flexport assessed D&D charges against Peloton using a calculation formula within its CORE system, without reviewing or verifying the legitimacy of those charges. B-0632, Peckham Dep. Tr. 134:12-20; B-0782, Banaszak Dep. Tr. 28:8-14.

111. In assessing D&D, Flexport considered only the NRAs, the NSAs, the free days available, and the charge amount per day based upon its rules tariff, and did not consider any other factors. B-0316, B-0334-0335, B-0362-0363, B-0377-0378, B-0389, B-0390, Tanner Dep. Tr. 47:11-21(testifying that only invoice audits conducted were to verify that Flexport's charge queue accurately represented charges in the associated NRA); 65:23-66:3 (testifying that only invoice

audits conducted were to verify that Flexport's charge queue accurately represented charges in the associated NRA), 93:21-94:6, 108:21-109:8, 120:14-17, 121:6-15; B-1346-1347, B-1353, Nable Dep. Tr. 95:16-96:1; 102:18-23 (unable to recall any factors that were considered in verifying invoices for accuracy).

112. Flexport did not have any written policies regarding the assessment of D&D charges. B-0170-0171, Flexport 143(b)(6) Dep. Tr. 170:21-171:6. Instead, Flexport assessed D&D based solely on its rules tariffs. B-0154, B-0162, B-0171, Flexport 143(b)(6) Dep. Tr. 154:6-11; 162:6-12; 171:20-22. According to Flexport corporate witness and Senior Director of Compliance Ryan Tanner, "[t]here is nothing needed more than that." B-0171, Flexport 143(b)(6) Dep. 171:2-24.

113. Flexport did not change the way it assessed D&D in response to any of the supply chain disruptions caused by the COVID-19 pandemic and continued to charge Peloton D&D based on an automatic calculation of days and the rates in its rules tariffs. B-0385-0386, B-0388-0391, B-0446-0447, Tanner Dep Tr. 116:21-117:10, 119:3-8, 119:19-120:17, 120:18-121:15, 121:17-122:11; 177:13-178:20 ("So, as a standard, we would not have changed our fees for containers that were impacted. Our tariff would have been the applicable rate."); B-0650-0651, Peckham Dep. 152:23-153:4.

114. Flexport calculated container availability solely based on the date of vessel discharge, without considering whether the container was actually accessible for retrieval. B-0159-162, Flexport 143(b)(6) Dep. Tr. 159:14-162:5; B-0362-63, Tanner Dep. Tr. 93:21-94:3.

115. Flexport's Client Solutions Associates, the employees at Flexport responsible for reviewing and invoicing D&D charges, were entry-level employees with limited or no training regarding the legal or regulatory requirements related to D&D charges. B-0805-0806, Banaszak

Dep. Tr. 51:16-52:1; B-0515-18, B-0519-21, B-0573, B-0715, Peckham Dep. Tr. 17:10-20:5 (Nick Peckham started at Flexport as a data operations associate approximately one year after graduating from college); 21:9-23:12; 217:2-217:14 (Peckham could not recall any specific training he had received regarding FMC compliance and stated he had never been introduced to the Incentive Principle or the Interpretative Rule while employed by Flexport); 75:12-18 (Operations Team is separate from Client Solutions Team and must inform the latter about shipment delays).

E. Flexport Failed to Resolve Issues Related to--or Adequately Communicate About--Chassis Shortages and Equipment

116. During the pandemic, Flexport continued to apply D&D charges to Peloton according to its rules tariff, despite widespread chassis issues. At the Port of Long Beach, for example, the average time chassis remained out of port increased by 114% compared to pre-pandemic conditions. B-0389-0390, Tanner Dep. Tr. 120:18-121:10 (“Yes. We still assessed our D&D per our rules tariffs.”); B-1164-1165, B-1167, Breck Dep. Tr. 185:13-186:1; 188:20-21 (“Yes, there was a chassis shortage, and, yes, demurrage was billed.”).

117. A chassis is a metal frame with wheels on which a container is loaded in order to be transported inland by truck. B-1157, Breck Dep. Tr. 178:16-20; B-1934, Majstorovic Dep. Tr. 96:11-16.

118. Flexport was responsible for sourcing chassis and ensuring their availability for Peloton’s shipments, which included managing relationships with both ocean carriers and trucking companies that owned or operated chassis. B-0829-30, Banaszak (Flexport) Dep. Tr. 75:12-76:2; C-0041, 2020 Master Service Agreement; C-0059, 2021 Master Service Agreement. This responsibility also involved coordinating with these carriers to obtain chassis or negotiate extended free time when shortages occurred. D-0013, Roche Expert Report ¶¶ 14-15; D-1745-46, McCown

¶¶ 71-74; B-0188-0189, Flexport 143(b)(6) Dep. Tr. 188:25-189:5; 190:2-3; B-0829-0830, Banaszak Dep. Tr. 75:12-76:2.

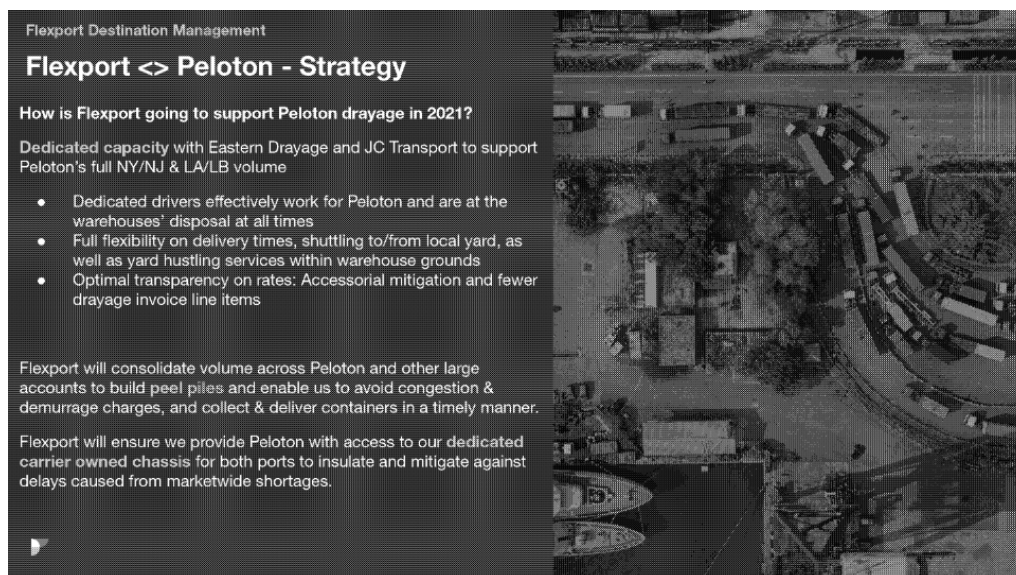
119. Flexport's carriers notified Flexport when there were no chassis available. C-0234, Banaszak Dep. Ex. 8; B-0204-05, Flexport 143(b)(6) Dep. Tr. 204:23-205:3 ("This is JC Transport saying to us, just like I'm telling you, wild, wild west. Who was (sic) chassis; where they are; how can we get our hands on them? Nobody knows. Nobody can get them. So that's exactly what's going on here. Everybody's out. Everybody's out").

120. Peloton expected that Flexport would have the necessary resources and capacity to transport shipments from origin to destination, including the ability to secure the required chassis for container movement when needed. B-2254, Beyar Dep. Tr. 207:7-23; B-1976-1977, B-1981-82, Majstorovic Dep. Tr. 138:15-139:3; 143:1-144:3.

121. Between 2020 and 2022, there were thousands of instances in which Flexport could not timely source chassis for Peloton Shipments, which significantly delayed the pickup of containers from the port and the return of empty containers to the port. D-1670-1726, Smith Supp. Expert Report, Ex. 3; B-0186, Flexport 143(b)(6) Dep. Tr. 186:7-18; B-1695, Peloton 143(b)(6) Dep. Tr. 209:15-19; B-0825-0826, B-0828, Banaszak Dep. Tr. 71:17-72:3; 74:11-17.

122. Peloton anticipated that Flexport, as an NVOCC with responsibility for end-to-end shipment logistics, would take all reasonable measures to secure chassis and address challenges related to their availability. B-1690, Peloton 143(b)(6) Dep. Tr. 203:5-21.

123. Flexport advertised to Peloton that they were going to support Peloton drayage during the Relevant Time Period through its dedicated drivers and carrier-owned chassis, and therefore reduce demurrage charges. C-0353-68, Breck Dep. Ex. 11.



C-0362, Breck Dep. Ex. 11 (excerpt from “Flexport’s Destination Management proposal” sent from Flexport to Peloton on July 21, 2021). C-0349, Breck Dep. Ex. 10 (“the proposal attached focuses on NY and LA to run drayage for all Peloton cargo but if needed can review dedicated drayage operations in other key markets”).

124. Peloton also expected that Flexport would dispute any demurrage charges assessed by a marine terminal or underlying carrier if there were no available chassis to pull containers from the terminal. B-2768-2769, Baitman Dep. Tr. 160:24-161:11; B-1711, B-1729, Peloton 143(b)(6) Dep. Tr. 224:6:16; 242:6-14.

125. If Flexport did not dispute charges that resulted from chassis shortages, it was Peloton’s understanding that responsibility for those charges remained with Flexport. B-2770, Baitman Dep. Tr. 162:11-13.

126. If the demurrage charges were not waived due to a lack of chassis for any reason, Flexport passed the demurrage charges onto Peloton based on the number of days calculated under its rules tariff. B-0207, Flexport 143(b)(6) Dep. Tr. 207:7-17.

127. Flexport encountered significant issues sourcing chassis, which resulted in repeated instances where Flexport could not pull Peloton containers from the terminal, causing Peloton to incur demurrage charges. B-1632-33, B-1635-36, Peloton 143(b)(6) Dep. Tr. 145:15-146:1; 148:22-149:18; D-1670-1726, Smith Supp. Expert Report, Ex. 3.

128. Chassis shortages likewise contributed to an inability of Flexport's drayage carriers to timely deliver Peloton Shipments to their final destinations. B-0204-06, Flexport 143(b)(6) Dep. Tr. 204:23-206:6; C-0095-96, Flexport 143(b)(6) Dep. Ex. 6; B-0724, Peckham Dep. Tr. 226:16-25.

129. Certain ocean carriers invoiced Flexport directly for chassis usage, while other ocean carriers invoiced the truckers with which Flexport contracted. E-0035, FLEXPORT 00000737.

130. When Flexport or its trucker was assessed D&D by drayage carriers due to a lack of chassis, Flexport in turn charged D&D under its rules tariff to Peloton. B-0207, Flexport Dep. Tr. 207:7-17.

131. As such, there are 4,562 documented instances of unavailability of chassis alone for which Flexport charged D&D to Peloton. D-1670-1726, Smith Supp. Expert Report, Ex. 3.

132. Flexport could have raised disputes with marine terminals that required use of their own chassis to be permitted to use third-party chassis providers, but it did not do so. B-2770-2771, Baitman Dep. Tr. 162:15-163:5.

133. Flexport did not adequately communicate with Peloton regarding issues it encountered in procuring chassis and did not always note those delays in CORE. B-1522-1523, Peloton 143(b)(6) Dep. Tr. 35:19-36:6.

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134. There were instances when Peloton was compelled to proactively reach out to Flexport to receive updates on why its containers were not moving, to which Flexport often cited a lack or shortage of available chassis. B-1695-1696, Peloton 143(b)(6) Dep. Tr. 208:17-209:19.

1. Examples Where Peloton Was Charged During Chassis Shortages

135. For example, for the shipment bearing the FLEX-ID FLEX-1338356, which encompassed eight containers to be shipped “Port to Door,” all eight containers arrived at the port in Tacoma, Washington on December 13, 2021, but Flexport did not schedule appointments to pick up the containers from the terminal until January 26, 2022, despite proactive inquiries from Peloton on January 6 and January 20, 2022 regarding the pick-up status of the containers. E-0057, FLEXPORT 00045790 (cover email); E-0059, FLEXPORT 00045794 (quote); Events Download.

136. Flexport’s truckers reported in late January and early February 2022 that they were unable to pick up the containers in the FLEX-1338356 shipment “due to no chassis” or available pickup appointments. D-2646, FPFMC_CP008_000001161 (Peloton Events Download) (1/28: “Hello, I had several drivers on the pier bobtail, and there are no chassis to pull these. Thank you!”) (2/2 “Unable to pull today due to no chassis, no appts available to 2/2. Please clear fees for Thursday 2/3. Thank you!”)

137. From January 26 through February 22, 2022, chassis shortages were documented no less than 212 separate times. D-1670-1762, Smith Supp. Expert Report, Ex. 3.

138. The last container in the FLEX-1338356 shipment was not picked up until February 23, 2022, more than two months after it had initially arrived at the port. D-2646, FPFMC_CP008_000001161 (Peloton Events Download).

139. For the eight containers in FLEX-1338356, Peloton was invoiced a total of \$163,719 in demurrage, \$55,140 in detention, and [REDACTED] (E-0002,

FPFMC_CP009_000002807, Demurrage Invoice, FLEX-1338356-5; E-0006, FPFMC_CP009_000002809, Detention Invoice FLEX-1338356-7).

140. In another example, container CAIU7472124 in the Flex-ID shipment FLEX-1075134 was available for pickup on May 28, 2021, but was not picked up until July 8, 2021, despite Peloton proactively inquiring whether the container had been moved out of the port. Events Download (Peloton checked in with Flexport on July 2, 2021 to ask “could we please check if CAIU7472124 gated out yesterday?”). D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

141. Between June 3 and June 30, 2021, Flexport logged 98 separate instances of chassis shortages or lack of chassis, as well as instances of “no available equipment for pick up” of the container. D-1670-1762, Smith Supp. Expert Report, Ex. 3.

142. In total, Flexport assessed Peloton \$11,585 in demurrage and \$12,590 in detention for container CAIU7472124. E-0179, Demurrage Invoice FLEX-1075134-3 (no Bates); PELOTON0049076.

143. Peloton discussed the shipping challenges it was facing with Flexport on a weekly basis or sometimes even multiple times a week, including chassis issues, as well as solutions to address those challenges. B-2773-2774, Baitman Dep. Tr. 165:20-166:19; B-0773, Banaszak (Flexport) Dep. Tr. 19:17-25.

144. Although other service providers had issues sourcing chassis during the pandemic, those other providers worked continuously to inform Peloton of chassis shortages and devise creative solutions for pulling containers from the terminal to avoid demurrage, whereas Flexport did not. B-1637, Peloton 143(b)(6) Dep. Tr. 150:3-22.

F. Flexport's Failure to Return Containers Promptly

145. Flexport consistently failed to return empty containers within the allotted free time, resulting in the assessment of both detention charges and chassis usage fees to Peloton as a result of retaining equipment. B-2640, Baitman Dep. Tr. 32:11-18.

146. After containers were unloaded, Peloton's warehouse promptly informed Flexport that the containers were ready to be collected by Flexport's appointed trucking partner. B-0844-0845. Banaszak Dep. Tr. 90:20-91:7.

147. Peloton notified Flexport that containers were ready for pickup through various channels, including phone calls, email correspondence, and by using Flexport's dedicated "Peloton Warehouse App." B-1076, Breck Dep. Tr. 97:13-20.

148. According to Flexport's Standard Operating Procedures for the "Peloton Warehouse App," the app was designed to monitor and record the "Empty Ready Date" of containers, ensuring accurate tracking throughout the process. *See, e.g.,* E-0237, PELOTON0032732, Peloton/Flexport SOP, Ex. C at 17 (highlighting added); *see also id.* at 5-7.

149. Flexport, however, consistently failed to promptly remove empty containers from Peloton warehouses after unloading, leading to unnecessary delays. *See e.g.* C-0226-0233, Banaszak Dep., Ex. 7 (backlog of empty containers awaiting pickup by Flexport's preferred trucker).

150. There were numerous instances when Flexport left empty containers sitting in yard storage for days, and even weeks, after being notified that the containers were ready to be returned to the port. B-0840-0841, Banaszak Dep. Tr. 86:14-87:6 ("Q. So there could be empties sitting at a yard for several days? A. There could be, yeah, for a variety of different reasons."); B-2641, Baitman Dep. Tr. 33:3-8 ("We would notify them – we would empty it, we would notify them it

was empty. They would pick it up, but they would not return it to the terminal for additional number of days.”).

151. As a result of Flexport’s delay in returning empty containers to the port, Peloton incurred unnecessary detention charges and chassis fees. B-2461, Baitman Dep. Tr. 33:3-14.

152. In at least one instance, Flexport charged detention to Peloton where Flexport’s preferred trucker lost two containers for a period of months and were unable to return them within their free time. C-0392-0394, Nable Dep. Ex. 4.

G. Representative Instances of Flexport’s Improper Assessment of Demurrage and Detention Charges

153. Flexport’s policy of automatically assessing D&D against Peloton in all circumstances resulted in Peloton being charged significant amounts of D&D in those circumstances in which they had no control or ability to effectuate cargo fluidity. D-0022, Roche Expert Report ¶¶ 54-56; D-1661-62 ¶¶ 11-12.

1. Peloton Shipment Case Study No. 1

154. Under Flex-ID FLEX-1338356, Flexport shipped eight Peloton containers (ZCSU6561441, TGBU7262420, TCNU2311054, ZCSU6673462, ZCSU7453035, FCIU8689431, TLLU5224226, ZCSU7006654). E-0058, FLEXPOR 00045790; E-0061-62, FLEXPOR 00048983-4. The shipment was confirmed with Flexport on November 4, 2021, as “Port to Door” with “FOB” trading terms E-0058, FLEXPOR 00045790; E-0059, FLEXPOR 00045794. These containers were part of the Valor Victoria IPI Rail Service (E-0061-62, FLEXPOR 00048983-4) and arrived at Tacoma, Washington, on December 13, 2021. C-0382, Reid Breck Deposition Exhibit 15.

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155. Despite Peloton's inquiries to Flexport's Operations Team on January 6 and January 20, 2021, regarding pickup status, appointments for all eight containers were not scheduled until January 26. C-0382, Reid Breck Deposition Exhibit 15.

156. According to contemporaneous communications, Flexport's truckers were "unable to pick up containers due to a lack of chassis." C-0382, Reid Breck Deposition Exhibit 15 (1/28: "Hello, I had several drivers on the pier bobtail, and there are no chassis to pull these. Thank you!") and (2/2: "Unable to pull today due to no chassis, no appts available to 2/2. Please clear fees for Thursday 2/3. Thank you!").

157. From January 26 through February 22, 2021, the issue of "chassis shortage" was documented 212 separate times. D-1670-1726, Smith Supp. Expert Report, Ex. 3.

158. The last container, ZCSU6673462, was not picked up until February 23, 2021. C-0382, Reid Breck Deposition Exhibit 15.

159. Additional error codes, including "Trucking Delays," were logged from February 8 through April 15, 2021. C-0382, Reid Breck Deposition Exhibit 15.

160. For these eight containers, Peloton was invoiced \$163,719 in a single line item for "ocean demurrage" (E-0002, Demurrage Invoice FLEX-1338356-5), \$55,140 in detention (E-0006, Detention Invoice FLEX-1338356-7), and [REDACTED] (E-0002, Invoice FLEX-1338356-5).

2. Peloton Shipment Case Study No. 2

161. Flexport shipped container number GESU6847487 under the Flex-ID FLEX-1117021. C-1310, Gary Kardian Deposition Ex. 5.

162. Flexport confirmed the booking on April 15, 2021, under "Port to Door" terms, and the container arrived at the Port of Los Angeles on June 11, 2021, where it was discharged and

made available for pickup on June 14, 2021. E-0183, FLEXPOR 00087029. The container was picked up and taken to JC Transport's yard. E-0151, FLEXPOR 00011153 (cover email); E-0153, FLEXPOR 00011157 (quote); C-0382, Reid Breck Deposition Exhibit 15.

163. In November 2021, JC Transport notified Flexport that it did not have the chassis needed to pull the container. E-0158, FLEXPOR 00054019 ("we just found out that since they were there since June, PCMC removed them from chassis and put them to decked/stacked... We will need a chassis to pick up containers to deliver to Fontana"); E-0155, FLEXPOR 00054016 ("We don't have bare chassis to pull them").

164. The container arrived at "MD3PL – LA6" on February 14, 2022, and was returned on February 17. C-0382, Reid Breck Deposition Exhibit 15.

165. Repeated error codes were logged for container GESU6847487, including "Trucking Delays" 10 times and "Congestion" twice. D-1670-1762, Smith Supp. Expert Report Ex. 3.

166. For this container alone, Peloton incurred \$59,760 in detention and \$2,490 in demurrage charges. E-0183, FLEXPOR 00087029; E-0186, FLEXPOR 00087032.

3. Peloton Shipment Case Study No. 3

167. Flexport shipped container CAIU7472124 under the Flex-ID FLEX-1075134. C-1170, Gary Kardian Deposition Ex. 5.

168. The container was discharged from the vessel on May 26, 2021, and made available for pickup on May 28, 2021. Free time on the container expired on June 5, 2021. D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

169. From June 3 to June 30, 2021, there were 98 error codes for chassis shortage. D-2647, FPFMC_CP009_000003306 (Peloton Events Download) ("NO CHASSIS") ("Chassis

Shortage”) (“There is currently a chassis shortage that is preventing the trucking carrier from being able to pick up your container(s) from the terminal. Chassis shortages often occur during times of high shipment volume, and can lead to delivery delays. We are actively monitoring your shipment and will schedule delivery as soon as possible”) (“The container did not out gate due to no available chassis”).

170. Moreover, from May 10 to September 7, 2022 there were 32 error codes for congestion. D-1670-1762, Smith Supp. Expert Report, Ex. 3; D-2647, FPFMC_CP009_000003306 (Peloton Events Download) (“Trucking Delay: Port/CFS Congestion”) (“Please note that the estimated time of arrival here has been delayed past the previously estimated time of arrival. This can be due to a variety of reasons but is most often attributed to poor weather, delays at a previous port call, or arrival port congestion. We have updated the schedule accordingly and will provide additional updates if further ETA adjustments are required”) (“Your shipment was delayed due to congestion at the port terminal. This will impact your shipment's final delivery date. Please note that we are working to reschedule your shipment as soon as possible and appreciate your understanding”).

171. On July 2, 2021, Peloton inquired whether the container had been gated out. D-2647, FPFMC_CP009_000003306 (Peloton Events Download) (“could we please check if CAIU7472124 gated out yesterday?”). D-2647, FPFMC_CP009_000003306 (Peloton Events Download). The container was not picked up until July 8, 2021. E-0001, Aggregate Shipment Details.

172. Although there were at least ten updates alerting that a delivery appointment had been scheduled for the container, numerous updates stated that Flexport’s trucker did not have the necessary equipment to pick up the container. Events Download. Additionally, there were 31

messages showing a “Trucking Delay.” D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

173. Container CAIU7472124 was not returned empty until September 7, 2021. E-0001, Aggregate Shipment Details.

174. For container CAIU7472124, Peloton incurred \$11,585 in demurrage charges and \$12,590 in detention charges. E-0179-80, PELOTON0049076; C-1170, Gary Kardian Deposition Ex. 5.

4. Peloton Shipment Case Study No. 4

175. Flexport shipped container WHLU5798492 under the Flex-ID FLEX-1074424. C-1174, Gary Kardian Deposition Ex. 5.

176. The container was discharged in Long Beach, California on June 10, 2021 and the last free day for the container was registered by “Flexport Automation” as June 17. D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

177. On June 22, “Crux Integration” noted: “Container WHLU5798492 has been made available for pickup at Long Beach, California.” D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

178. On June 24, Flexport’s trucker reported that the container “did not out gate the port due to terminal system being down, this will generate a dry run.” D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

179. Peloton made two inquiries, on July 6 and July 13, as to the status of the container. Events Download (“Hi @Lenilyn Plata What is the status of WHLU5798492?”). D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

180. The container was not picked up until July 14. E-0001, Aggregate Shipment Details.

181. For this period, Peloton was charged 27 days of demurrage totaling \$9,335 E-0010, (Invoice FLEX-1074424-1).

5. Peloton Shipment Case Study No. 5

182. Flexport shipped container ZCSU8664990 under the Flex-ID FLEX-1112979. C-1181, Gary Kardian Deposition Ex 5.

183. Flexport confirmed the booking on April 16, 2021, under “Port to Door” terms,” and the container was discharged in the Port of Los Angeles on July 9, 2021, with free time expiring on July 15. E-0164, FLEXPOR 00011697 (cover email); E-0166, FLEXPOR 00011701 (quote). (Shipment Files); D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

184. The container was not picked up until July 22, 2021, during which time four “Trucking Delay: Other” errors were recorded. E-0001, Aggregate Shipment Details; D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

185. On August 2, 2021, Peloton asked Nick Peckham of Flexport for an update regarding container ZCSU8664990, and on August 3, Peckham requested JC Transport to “please upload the POD for ZCSU8664990.” Events Download. Peloton followed up with Flexport regarding the status of the container on August 5, 2021 and again on August 11, 2021. Events Download (“Can I please get a POD for ZCSU8664990?” D-2647, FPFMC_CP009_000003306 (Peloton Events Download). Peloton followed up with Flexport regarding the status of the container on August 5, 2021 and again on August 11, 2021. D-2647, FPFMC_CP009_000003306

(Peloton Events Download) (“Can I please get a POD for ZCSU8664990?” and “[P]lease have the trucker provide POD for ZCSU8664990. It has been delivered for almost 2 weeks”).

186. On August 12, 2021, the container was confirmed empty and ready for pickup, with Peckham explaining that, due to a miscommunication, a trucker had been assigned for pickup on July 30, but was unable to complete the delivery. D-2647, FPFMC_CP009_000003306 (Peloton Events Download).

187. The container was not returned until August 16, 2021. E-0001, Aggregate Shipment Details.

188. For container ZCSU8664990, Peloton was charged 17 days of detention (\$3,845) and 7 days of demurrage (\$2,115) (E-0015, FPFMC_CP009_000000604, Invoice FLEX-1112979-1; E-0019, FPFMC_CP009_000000605, FLEX-1112979-2).

VI. These Supply Chain Disruptions Led to Warehousing and Trucking Issues that Were Exacerbated by Flexport

189. The primary backlog at Peloton warehouses began in May 2021 and lasted through the beginning of November 2021. E-0064, FLEXPOR 00000313 (the first major mention of a “backlog”); E-0069, FLEXPOR 00002228 (email noting that the backlog is resolved and that there are only 8 containers in demurrage).

190. During this backlog, truckers were rejected from the warehouses when attempting to drop off containers due to a large number of empties in the yard or otherwise a lack of capacity to accept additional containers. E-0070-71, FLEXPOR 00011481-00011482 (JCT still having drivers rejected when attempting to drop containers at Perris due to large number of empties in the yard); E-0073-74, FLEXPOR 00018431-00018432 (Peloton receiving notification through Flexport platform that multiple containers were rejected because no space at Mira Loma).

191. Flexport's warehouse app experienced frequent technical and user error issues, which caused backlogs, misdeliveries, and other transportation delays. E-0077-78, FLEXPOR 00010884 (Container rejected from SFO Perris because warehouse app improperly notified trucker they were at capacity when they were not); E-0080-81, FLEXPOR 00037080 (Warehouse app not syncing with empty containers); E-0022; FLEXPOR 00007747 (Flexport recorded a "WIP learning that the "warehouse app has been ignored and has lots of bugs. Warehouse app slows us down by 50%").

192. When a warehouse did not have delivery appointments, Peloton would "have had the conversation with Flexport and/or any other NVOCC that ... if things can't get delivery appointments to their final destination, that we would give them alternative routing....[T]he first goal was 'Okay. They can't go to Perris. What are one of the other three LA area warehouses that they could go to?'" B-2777, Baitman Dep. Tr. 169:19-170:1.

193. Peloton gave Flexport "unlimited authority to pull containers to storage yards, to container yards, to drop at our various warehouses if they couldn't get an appointment. So we did everything in our power to give them the ability to get containers out of the terminal." B-2766, Baitman Dep. Tr. 158:10-15.

194. At times, empty containers would sit in Peloton warehouses or yards for several days, because being able to pick up the container was "based on the amount of capacity coming in, what's been planned, what's been scheduled." B-0840, Banaszak Dep. Tr. 86:22-24.

195. Flexport truckers contributed to warehouse congestion, particularly when the truckers dropped containers over the weekend, leaving a backlog of containers on Monday. E-0082-83, PELOTON0036601; C-0226-0233, Banaszak Dep., Ex. 7 (backlog of empty containers

awaiting pickup by Flexport-designated trucker at Peloton warehouse), E-0191, FLEXPORT 00025050; E-0085-0086, FLEXPORT 00022416-00022417.

196. Peloton's Former Senior Director of Logistics, North America, David Baitman testified that there were occasions where "the Flexport-nominated carrier for drayage would drop off the container at our yard or our facility. We would notify them – we would empty it, we would notify them it was empty. They would pick it up, but they would not return it to the terminal for additional number of days." B-2641, Baitman Dep. Tr. 33:3-8.

197. On an occasion when a Peloton warehouse emptied 28 containers in one day, Flexport was unable to move the empties from the warehouse quickly, contributing to congestion. C-0226-0233, Banaszak Dep. Ex. 7; E-0191, FLEXPORT 00025050; B-0933, Banaszak Dep. Tr. 179: 14-22.

198. Peloton opened numerous additional warehouses and distribution centers ("DCs") to alleviate the warehouse capacity situation. E-0064-0066, FLEXPORT 00000315 (Peloton supposed to open XPO Des Moines); E-0088, PELOTON0038220 (talking about opening new facility at Vernon, CA to alleviate Perris); E-0089, FLEXPORT 00042232 (Peloton sends Flexport details about new GXO Santa Fe Springs Warehouse they are about to open to alleviate backlog at LA); E-0091-0092, FLEXPORT 00051042 (Peloton adds two additional warehouses in Stockton and Orlando to help with backlog); B-2759, Baitman Dep. Tr. 151:4-25 ("Peloton dramatically expanded their warehouse space over time ... I think June of '22, we opened up a Des Moines, Iowa facility with 400,000 square feet of space and pointed a lot of containers there... We kept opening new warehouses until we got to 22, 23 warehouses... Q: By the time – so it went from 22 to 23 warehouses from – when you started, it was how many did you say? A: I don't remember exactly. It was probably 15").

199. Opening a brand-new warehouse could take three months; for example, the Des Moines, Iowa warehouse took from May through July of 2021 to fully open. B-2815, Baitman Dep. Tr. 207:18-20.

200. Part of Peloton's Angad Gadhok's job responsibilities were to "procure space based on Peloton's requirements, which meant additional DCs." B-2473, Gadhok Dep. Tr. 127:19-20.

201. Gadhok testified that, "whenever we needed space, I was able to procure it and make sure that that wasn't a constraint at Peloton." B-2474, Gadhok Dep. Tr. 128:6-8.

202. Gadhok testified that "[w]hat I do recall is in time of constraints, we were able to proffer new solutions rather quickly. So I won't go to the extent of saying that there was never a constraint, but I will go to the extent of saying yes, whenever there was a seeming constraint, we worked around the clock to sort of figure out how to solve that." B-2475, Gadhok Dep. Tr. 129:12-19.

203. Peloton also frequently asked Flexport to provide additional warehouse space to alleviate any backlogs at Peloton warehouses. E-0093-0094, FLEXPOR 00021150 (Flexport adds additional space in Corona). However, at a certain point, Flexport struggled to find additional warehouse space because "warehouse space in the region is at 99-100% capacity so this is for sure a hot topic." E-0095, FLEXPOR 00001731 (emphasis in original).

204. Baitman testified that when Peloton needed short term storage it would contact Flexport for these needs because "[i]t wasn't worth opening up a brand-new warehouse for three months, but it was worth procuring some additional space." B-2762, Baitman Dep. Tr. 154:11-13.

205. On May 6, 2021, Peloton alerted Flexport by email of the upcoming blackout period for all SFO/FO warehouses and asking to review inbounds to avoid bottlenecks. E-0099,

FLEXPORT 00020491. This blackout period lasted from June 28 - July 6, 2021. *Id.* E-0099, FLEXPORT 00020491.

206. On June 22, 2021, SFO Perris hit capacity and halted all inbound for multiple days. E-0104, FLEXPORT 00021532. Similarly, on August 12, 2021, Peloton halted all inbound to Perris once again. E-0108, FLEXPORT 00029923.

207. On June 29, 2021, Peloton notified Flexport that frequent misdeliveries by JC Transport were adding to capacity issues within SFO Perris and prolonging the recovery of that yard. In response, Flexport acknowledged that Peloton would not be charged bobtail or dry run fees because that was a “Flexport trucking error.” E-0085, FLEXPORT 00022416.

208. There were times during the backlog when Flexport asked if Peloton had plans to slow down production in response to blank sailings, and Peloton responded that it did not plan to slow down. E-0110, FLEXPORT 00094407.

209. However, David Baitman testified that Peloton “modeled how much was being manufactured, how much was on the water, how much storage space we had, and how fast our sales were going, and we – we had to adjust. You know, there is some unexpected stuff that happens in logistics you have to adjust to it.” B-2761-2762, Baitman Dep. Tr. 153:13-154:1.

210. The backlogs at Peloton and third-party warehouses caused the delayed return of many empty containers, which threatened Peloton’s allocation with certain ocean carriers. E-0114, FLEXPORT 00025487 (backlog of empties at Mira Loma leads to CMA threatening to cut Peloton’s allocation to zero); E-0119-0120, FLEXPORT 00029324 (Other carriers including OOCL threatening to cut allocations if their empties aren’t returned).

211. During this backlog period, the teams at Peloton and Flexport had multiple calls to discuss and attempt to resolve these backlogs. E-0126, FLEXPOR 00007104; E-0128, FLEXPOR 00001390.

212. As of July 7, 2021, Peloton had 154 containers in yard storage pending delivery to Perris, 293 containers sitting at the Port of LA that had not outgated yet, and 350 containers arriving at the port in the next two weeks. E-0129, FLEXPOR 00025542.

213. Some of the reasons cited for the backlog included “decreased inbound capacity at Perris, shutdown of IBAS inbounds, and significant import volume.” E-0129, FLEXPOR 00025542.

214. On September 9, 2021, Peloton entered into a destination management contract with EDRA with the goal of “getting your containers emptied more efficiently and returning them and your chassis back to you faster.” E-0132, FLEXPOR 00038205; B-2425, Gadhok Dep. Tr. 79:8-80:11.

215. Other warehouses during the pandemic struggled with capacity issues during this time period. E-0095, FLEXPOR 00001731 (Peloton asking for additional warehouse space in Southern California and Flexport explaining that “warehouse space in the region is at 99-100% capacity so this is for sure a hot topic”); B-2724, Baitman Dep. Tr. 116:9-11 (“We had challenges with warehouse space, yes. We had – we had capacity constraints that like every business, we had to work to resolve”).

216. As another means of offsetting the demurrage and detention accruing as a result of the LA Long Beach backlog, Peloton agreed to utilize the Valor Victoria IPI Rail option to keep its containers moving. E-0134-0136, FLEXPOR 00046123.

VII. A Fulsome Review of the Record Reveals that Flexport Charged Peloton for Millions of Dollars of D&D Where Flexport Only Recorded Issues for Which Flexport Was Responsible, or Recorded No Reason At All

217. The Smith Supplemental Expert Report was created by Peloton damages expert, Greg Smith, who reviewed the entries in the Peloton Events Download Spreadsheet for each FLEX-ID listed in Exhibit A to the Amended Complaint. D-1658, Smith Suppl. Expert Report at 1 n. 3.

218. The Smith Supplemental Expert Report concluded that \$1.7 million in charges show indications of some Peloton responsibility and some Flexport responsibility. D-1660, Smith Suppl. Expert Report ¶ 7(c).

219. The Smith Supplemental Expert Report concluded that \$134,520 in charges show only indications of Peloton responsibility. D-1660, Smith Suppl. Expert Report ¶ 7(d).

220. The Smith Supplemental Expert Report concluded that there were 102 instances of “Peloton Issues” on 58 different shipments. D-1670-1762, Smith Suppl. Expert Report, Ex. 3.

221. The Smith Supplemental Expert Report was produced using data produced by Flexport from its CORE Platform in which Flexport recorded reasons for delay of Peloton Shipments that lead to increased D&D charges. D-1670-1762, Smith Suppl. Expert Report, Ex. 3.

222. Flexport charged Peloton for \$26 million in D&D related to shipments in which Flexport only recorded delays that were the responsibility of Flexport. D-1670-1762, Smith Suppl. Expert Report, Ex. 3. Flexport charged Peloton for \$5.8 million in D&D in which it recorded no or insufficient data to determine whether Flexport or Peloton was responsible for the delays. D-1659-1660, Smith Suppl. Expert Report, ¶ 7; D-1670-1762, Smith Suppl. Expert Report, Ex. 3.

VIII. Peloton's Coupa System Revealed Inconsistencies

223. Peloton used a software platform called Coupa to manage its accounts payable, including tasks such as tracking invoices and payments of D&D charges. D-1439-1440, Smith Expert Report ¶ 26; *see also* B-2668-2669, Baitman Dep. Tr. 60:17-61:8.

224. Coupa is a spend management platform to, among other things, optimize supply chains. D-1439-1440, Smith Expert Report ¶ 26.

225. The Coupa file includes the following fields:

- a. Invoice #
- b. Supplier
- c. Created Date
- d. Total (amount)
- e. Status
- f. Delivery Method
- g. Paid (true or false).

D-1440, Smith Expert Report ¶ 26 (a)-(g).

226. Coupa also allowed Peloton to “approve or reject invoices within that system.” B-2668, Baitman Dep. Tr. 60:21-22; *see also* B-2092, Beyar Dep. Tr. 45:14-17.

227. The invoice amount would indicate how many levels of approval were needed by Peloton. B-2669, Baitman Dep. Tr. 61:1-8.

228. With regard to Flexport, any invoice that was submitted to `invoices@onepeloton` and then uploaded into Coupa went through the approval process. B-1728, Peloton 143(b)(6) Dep. Tr. 241:15-17.

229. Peloton's damages expert, Greg Smith, analyzed Peloton's Coupa data in his Report's Exhibit 3. As shown in the Smith Expert Report Exhibit 3, "Flexport invoices total \$195 million dollars (excluding invoices entered in 2019 and 2024, the total is \$189 million) and these invoices were all paid by Peloton." D-1440, Smith Expert Report ¶ 17.

230. Smith compared Exhibit 1 and Exhibit 3 and found that it "illustrates that, in practice, Flexport often grouped several of the individual shipment invoices (shown in Exhibit 1) into consolidated invoices that covered multiple shipments that were then paid by Peloton." D-1440-1441, Smith Expert Report ¶ 28.

231. Under ordinary circumstances, Peloton would audit an invoice when it was received and either approve the invoice or reject it. B-2669, Baitman Dep. Tr. 61:12-17.

232. Peloton routinely audits invoices as a matter of sound business practice in order to be able to identify any errors and raise them with the carriers. B-2859, Baitman Dep. Tr. 251:3-11.

233. Due to the large influx of shipments that it received during the COVID-19 pandemic, Peloton received invoices at a rate faster than it could audit them. B-2658-2659, 2669, Baitman Dep. Tr. 50:23-51:13; 61:17-20.

234. Accordingly, Peloton made the strategic business decision to pay invoices as it received them and audit them after the fact. B-2630, B-2669, Baitman Dep. Tr. 22:5-10; 61:17-20.

235. It is common practice within the shipping industry to pay invoices when they are received, then review them and dispute any discrepancies after the fact. B-2632, Baitman Dep. Tr. 254:5-8.

236. Peloton was also aware that FMC regulations provided for a three-year lookback period within which to dispute an invoice charge. B-2756-2757, Baitman Dep. Tr. 148:14-149:2.

237. Peloton paid invoices issued by Flexport in order to stay within its credit limits and keep its cargo moving, with the knowledge that it could audit and dispute the invoices at a later date. B-2630, B-2658-2659, B-2680, Baitman Dep. Tr. 22:5-10; 50:23-51:13; 72:6-16; B-1716, Peloton 143(b)(6) Dep. Tr. 229:10-20.

238. Carriers generally issue shippers a line of credit. If a shipper exceeds its credit limit by a certain threshold, the carrier may cut off the shipper from services and pursue collections actions against the shipper. B-2695, Baitman Dep. Tr. 87:1-21.

239. Peloton paid invoices issued by Flexport in order to maintain its credit at an acceptable level and avoid being cut off from services. B-2695, B-2752-2753, Baitman Dep. Tr. 87:12-23; 144:17-145:9.

240. Approval of invoices in Coupa simply meant releasing those invoices for payment; it did not constitute approval of the charges those invoices contained. B-2686, B-2694, Baitman Dep. Tr. 78:5-19; 86:2-6 (“[A]pproval was release for payment. It did not mean that I gave my stamp of approval on the actual content of the invoice.”).

A. Peloton Conducted a Review of Past Freight and D&D Invoices.

241. In or around May 2023, Peloton began auditing freight invoices issued for active shipments. Beyar was one of the employees tasked with conducting this audit. B-2088, Beyar Dep. Tr. 41:15-21.

242. A few months later, Beyar and his team were instructed to review past freight invoices as well as past D&D invoices. B-2088-2089, Beyar Dep. Tr. 41:22-42:18.

243. Upon reviewing those invoices, Peloton discovered D&D charges assessed by Flexport that it deemed unreasonable or “suspicious.” B-1550, B-1613, Peloton 143(b)(6) Dep. Tr. 63:11-14; 126:6-8.

244. For Flexport invoices, Peloton reviewed information available through Flexport's tracking portal, email communications between Flexport and Peloton, internal Peloton communications, and information from a third-party software tool called BlueCargo. B-1518-1520, Peloton 143(b)(6) Dep. Tr. 31:21-33:15. This preliminary review indicated excessive charges and billing discrepancies related to D&D. B-2646-2647, B-2657-2658, B-2794, B-2838, Baitman Dep. Tr. 38:20-39:12; 49:7-50:3; 186:12-24; 230:1-10.

245. On September 7, 2023, Peloton's Angad Gadhok emailed Peloton in-house counsel to request legal advice on laws and regulations related to challenging and recouping detention and demurrage charges, attaching the spreadsheet prepared by Beyar. F-0053, Gadhok Affidavit ¶ 3.

IX. Flexport's CORE System Was Not Reliable

246. CORE is Flexport's propriety operating system used to track all aspects of shipments from door to door, port to door, or port to port, and calculate charges based upon Flexport's tariffs, number of free days, NRAs, and NSAs. *See* B-0161-0164, Flexport 143(b)(6) 161:8-164:4; B-0365, Tanner Dep. Tr. 96:1-17.

247. CORE includes all data related to shipments, including "client information, shipper information, booking information, commodity information, container information; piece, counts, weights, seal numbers; routing information, such as origin, origin port, destination port, destination; any timeline associated with that routing, such as ETs, ATAs, ETDs, ATDs; customs documentation, custom status, ISF status, invoices, commercial invoices received in PDF form, packing lists, bill of lading information, quotes, the NRA itself, and the invoices." B- 0365, Tanner Dep. Tr. 96:1-17; B-1078-107:9; B-2078-2079, Breck Dep. Tr. 99:23-100:19.

248. CORE also includes container arrival dates, discharge dates and outgate dates, as well as tracking of free time and D&D. B-0365-0366, Tanner Dep. Tr. 96:18-97:16.

249. Flexport's truckers electronically enter shipment status updates through the "Transmission" system, which are supposed to be reflected in CORE. A-0242, Exhibit A to Dkt. No. 71, Decl. of Ryan Tanner ¶ 11.

250. Flexport "hardcoded" its tariff into CORE, which automatically calculated the demurrage or detention applicable to shipments based on Flexport's tariff, the number of free days, NRAs, and NSAs. B-0162 Flexport 143(b)(6) Dep. Tr. 162:8-10; B-0362-0363, Tanner Dep. Tr. 93:10-94:6; B-0565-0566, B-0630, B-0632, Peckham Dep. Tr. 67:23-68:14 ("If it is a contracted rate, meaning at some point Flexport and Peloton had agreed upon what the price per container was going to be ... it is really just looking at the rate sheet, entering the charges into the system and clicking "share"), 132:21-24 ("it is just a simple formula that populates or that calculates charges based upon Flexport's tariff"), 134:12-13.

251. The CORE system populated these D&D charges in Peloton invoices. B-0626, Peckham Dep. Tr. 128:6-21.

252. Although Flexport at one point considered implementing "reason codes" for any excessive dwell containers, Flexport abandoned this idea after concluding that it would have "low ROI" and that its current CORE practices were sufficient. E-0022, FLEXPOR 00007747.

253. Multiple "tabs" existed within CORE, two of which were the "operations tab" and "invoices tab." B-0626, Peckham Dep. Tr. 128:17-21.

254. CORE pulled shipping information from the operations tab to populate fields in the invoices tab. B-0626, Peckham Dep. Tr. 128:17-21.

255. Flexport employees then accessed this information via a "charge queue" that automatically generated an invoice for their review, approval, and transmission to Peloton. B-0702-0703, Peckham Dep. Tr. 204:11-205.

256. CORE automatically calculated D&D based upon the number of days past free time and Flexport's tariffs. B-0630-0631, Peckham Dep. Tr. 132:21-133:7.

257. Flexport's D&D invoices did not include all the information required by OSRA. E-0264, PELOTON0016855.

258. Although CORE was meant to provide updates on the milestone movements of containers, the system did not always provide accurate information on the movement of Peloton Shipments. B-1521-1522, Peloton 143(b)(6) Dep. Tr. 34:9-35:25; E-0138-0139, FLEXPOR 00007916 (email exchange regarding TO number issues and showing mismatched TO numbers; Peloton explaining that "there is way too much confusion on the Flexport side and now we are incurring additional costs because of it"); E-0143, FLEXPOR 00019112 (Flexport projections showing the wrong vessel arrival dates to Peloton, so the container arrived much earlier in the month); E-0144-0145, FLEXPOR 00049743 (Flexport system showing inaccurate data regarding the number of containers sitting at origin ports).

259. Flexport's tracking portal frequently displayed inaccurate or outdated information, which caused confusion and delayed Peloton's ability to retrieve shipments in a timely manner. B-1693-1694, Peloton 143(b)(6) Dep. Tr. 206:6-207:2; E-0022, FLEXPOR 00007747; E-0148-0149, FLEXPOR 000056313 (Flexport system showing containers delivered to San Bernadino which never arrived there; Flexport attributed this to "confusion regarding the final delivery location").

260. Peloton encountered instances when not all updates on container movements were logged by the Flexport team in CORE. For instance, updates on delays in procuring chassis were not always inputted into CORE. B-1522-1523, Peloton 143(b)(6) Dep. Tr. 35:19-36:6.

261. At other times, CORE did not accurately indicate when a container was available for pickup, which resulted in delays in transporting those containers to Peloton's distribution centers. B-1692, Peloton 143(b)(6) Dep. Tr. 205:4-14.

262. There were yet other instances when Peloton presumed that a container was in transit based on information available in CORE, only to find out days later that the container had not in fact moved. B-1693, Peloton 143(b)(6) Dep. Tr. 206:12-18.

263. As a result of these inaccuracies in CORE's data, Peloton was compelled to proactively contact Flexport to inquire about the movement of the container, particularly when the next leg of the container's transportation had already been arranged. B-1693-1694, Peloton 143(b)(6) Dep. Tr. 206:19-207:2.

D. Peloton Attempted to Resolve Its Demurrage and Detention Disputes with Flexport Through Direct Discussions with the Flexport Team.

264. Peloton's audit of Flexport invoices revealed a pattern of discrepancies and overbilling of D&D that was significant enough to raise with Flexport. B-2637, B-2818, Baitman Dep. Tr. 29:1-17; 210:1-9.

265. In the absence of any formal dispute resolution mechanism made available by Flexport, in or around February and March 2024, Peloton attempted to engage in direct discussions with Flexport in order to resolve the discrepancies that it uncovered in its invoice review. B-1582-1583, Peloton 143(b)(6) Dep. Tr. 95:5-96:1; B-2628, Baitman Dep. Tr. 20:15-5.

266. During these discussions, Peloton raised that it had uncovered "significant discrepancies" in invoices issued by Flexport. B-1582-1583, Peloton 143(b)(6) Dep. Tr. 95:22-96:1.

267. Peloton provided specific examples of invoice discrepancies to the Flexport team in an attempt to clarify the underlying reasons for those D&D charges. B-1583, Peloton 143(b)(6) Dep. Tr. 96:13-21; B-2209-2210, Beyar Dep. Tr. 162:25-163:10.

268. Additionally, Peloton asked Flexport to conduct its own research to determine the underlying cause of the D&D charges. B-2206-2207, B-2210, Beyar Dep. Tr. 159:16-160:3; 163:11-18.

269. When Peloton raised invoice disputes with other carriers, it was able to engage in discussions with those carriers, leading to amicable resolution. B-2882, Baitman Dep. Tr. 274:1-4.

270. By contrast, Flexport refused to engage in meaningful discussions with Peloton regarding invoice discrepancies. B-2634-2635, B-2650-2651, Baitman Dep. Tr. 26:23-27:5; 42:7-43:2.

271. Peloton attempted to have multiple discussions with Flexport to resolve the invoice disputes, without success. Peloton ultimately ceased discussions with Flexport when Flexport indicated an intent to involve legal counsel. B-2651, B-2795-2796, Baitman Dep. Tr. 43:3-15; 187:24-188:25.

E. Peloton Ultimately Ceased Using Flexport as a NVOCC Based on Flexport's Unsatisfactory Performance and Excessive Rates.

272. Peloton made the decision to cease utilizing Flexport as an NVOCC in part because Flexport charged Peloton substantially more in freight and other charges compared to steamship lines. B-2800, B-2808, Baitman Dep. Tr. 192:11-23; 200:4-17.

273. Peloton also ceased using Flexport as a NVOCC due to Flexport's issues sourcing chassis and truck drivers and its failure to secure appointments to move containers out of port or

return empty containers to the port, which resulted in the accrual of D&D. B-1630-1631, Peloton 143(b)(6) Dep. Tr. 143:16-144:5.

274. Peloton expected that Flexport, as an NVOCC that held itself out as an “end-to-end supply chain solution,” was capable of moving containers in a timely manner without incurring D&D charges; however, Flexport did not fulfill these expectations. B-1631-1632, Peloton 143(b)(6) Dep. Tr. 144:6-145:12.

275. In 2021, due to Flexport’s poor performance in managing inland transportation of Peloton’s cargo, Peloton brought on the third-party logistics provider EDRA Y to replace Flexport as its inland service provider. B-1627, Peloton 143(b)(6) Dep. Tr. 140:5-25.

276. EDRA Y was a destination management partner that Peloton brought on in mid-2021 to provide greater real-time visibility into inland container movements. B-2855-2856, Baitman Dep. Tr. 247:24-248:5; B-1508, Peloton 143(b)(6) Dep. Tr. 21:21-22.

277. As a third-party logistics provider, EDRA Y both arranged for inland transportation with underlying drayage carriers, and provided inland transportation using its own assets. B-1628, Peloton 143(b)(6) Dep. Tr. 141:6-21.

278. EDRA Y’s services including making “arrangements, either with their own equipment or with other third parties, for the transportation of Peloton’s shipments from port to the inland destination” were necessary because Flexport’s services for the same could not be depended on. B-1629, Peloton 143(b)(6) Dep. Tr. 142:16-21.

279. There were times that Flexport was in communication with EDRA Y about Peloton Shipments with occasional instances where Peloton “acted as the intermediary between the parties.” B-1630, Peloton 143(b)(6) Dep. Tr. 143:1-8.

280. There were “a variety of reasons why [Peloton] considering Flexport [was] doing a bad job. They were not securing appointments to pick up containers and move them out of the terminal; thereby, incurring demurrage when they passed free time allotment. They were having issues sourcing chassis and truck drivers to pull [Peloton] containers from the” B-1630, Peloton 143(b)(6) Dep. Tr. 143:16-144:5.

281. Over time, Peloton strategically shifted its logistics away from Flexport, ultimately terminating Flexport’s services around mid-2022. B-1703-1704, Peloton 143(b)(6) Dep. Tr. 216:2-217:19.

282. Peloton could not cease using Flexport entirely during the COVID-19 pandemic due to the heightened demand for Peloton products and the need to keep Peloton cargo moving. B-1703, B-1714-1715, Peloton 143(b)(6) Dep. Tr. 216:6-19; 227:15-228:2.

283. Rather, Peloton moved away from using Flexport incrementally, continuing to utilize Flexport’s services until it was able to replace Flexport with better-performing carriers. B-1634, Peloton 143(b)(6) Dep. Tr. 147:10-21.

284. Peloton was eventually able to replace Flexport as its NVOCC by working progressively to bring on other delivery partners, and ultimately developed direct relationships with steamship lines and inland transportation providers. B-1703, Peloton 143(b)(6) Dep. Tr. 216:6-19.

X. PELOTON’S LIABILITY EXPERTS VALIDATE FLEXPORT’S RESPONSIBILITY FOR THE INLAND TRANSPORTATION OF PELOTON’S CARGO

285. Flexport did not submit any rebuttal to Roche’s Expert Report or McCown’s Expert Report. F-0141, Decl. of K. Little at 1.

286. Although Peloton made both Roche and McCown available for deposition, Flexport chose to only conduct the deposition of Roche. F-0142, Decl. of K. Little at 2.

A. Peloton's Liability Expert Richard Roche's Expert Opinions

287. Peloton's first liability expert, Richard J. Roche, has vast experience in the shipping industry, having worked for freight forwarding companies for the past thirty years, including for the past fifteen years as Senior Vice President of Mohawk Global Logistics Corp. ("Mohawk"), an FMC-licensed NVOCC and a leading company in international trade facilitation and compliance. D-0001-0003, Roche Expert Report at 1-3.

288. In addition to his experience working for freight forwarding companies, Roche serves on the Board of Directors of the National Customs Brokers and Forwarders Association of America ("NCBFAA"). D-0003, Roche Expert Report at 3.

289. Roche assisted with the FMC's Fact Finding Investigation No. 28 on "Conditions and Practices Relating to Detention, Demurrage and Free Time in International Oceanborne Commerce," including serving on three FMC Innovation Teams headed by FMC Commissioner Rebecca Dye that resulted in the issuance of Commissioner Dye's final report on Fact Finding Investigation No. 28 and the FMC's Interpretive Rule issued on May 18, 2020. D-0003, Roche Expert Report at 3; B-3095-3096, Roche Dep. Tr. 121:20-122:2.

290. For the past three years, Roche has served as the Fees and Subcharges Committee Chairman of the National Shippers Advisory Committee ("NSAC"), focusing largely on matters related to demurrage and detention, early receiving date changes, government holds, and rail jurisdiction applicable to storage charges on through bills of lading. D-0003, Roche Expert Report at 3.

291. Roche has a "long history of being involved in demurrage and detention" and is "an advocate for understanding the reasons for having the demurrage and detention" as well as "an

advocate for correcting the abuses of demurrage and detention.” B-3095-3096, Roche Dep. Tr. 121:10-122:10.

292. Roche attested that “Flexport was responsible for the transportation of Peloton’s cargo to door, i.e. carrier haulage or ‘store door’—which included the ocean and inland transportation” and “for providing or procuring the necessary means to do so, including adequate trucking, chassis and empty return availability.” D-0004, Roche Expert Report at 4.

293. “Store door” is an industry term that means door delivery through transport and is interchangeable with other industry terms such as “door delivered,” “port-to-door,” and “door-to-door.” B-3104, Roche Dep. Tr. 130:3-18; D-0010, Roche Expert Report ¶ 1.

294. Carrier haulage is a practice in which “the common carrier retains responsibility to deliver contains to an inland destination.” D-0008, Roche Expert Report at 8. When providing such on-carriage services, the carrier “should also accept any claims, liabilities or damages that could arise during such a move.” D-0008, Roche Expert Report at 8.

295. Despite the impacts that the COVID-19 pandemic had on the shipping industry, Peloton took steps to maintain the fluidity of its freight movements, including by instructing Flexport to pre-pull containers out of marine terminals or to unload cargo into warehouse space to ensure that empty containers were returned within free time. D-0012, Roche Expert Report ¶ 10.

296. These actions were managed by Flexport under carrier haulage arrangements, and thus these moves “should not have incurred demurrage or detention charges from Flexport.” D-0012, Roche Expert Report ¶ 10.

297. Flexport remained responsible for the performance and conduct of the asset-owning carriers, including ocean carriers and trucking companies, with which it contracted to provide end-

to-end transportation services for Peloton Shipments. D-0014-0015, Roche Expert Report ¶ 20; D-2472, Roche Rebuttal Expert Report ¶ 7.

298. Flexport was responsible for ensuring the availability of chassis to transport Peloton Shipments, regardless of whether the drayage carriers with which it contracted sourced or supplied that chassis. D-0015, Roche Expert Report ¶¶ 21, 23.

299. Roche's company Mohawk provides port-to-door services to customers wherein Mohawk arranges for CY-CY transportation with ocean carriers under house bills of lading and subsequently arranges for drayage carriers to pick up containers and deliver them to their final destinations. D-2474, Roche Rebuttal Expert Report ¶¶ 14-15. These port-to-door moves are subject to FMC regulation. D-2474-2475, Roche Rebuttal Expert Report ¶ 16.

300. Similarly, Flexport arranged for both ocean transportation of Peloton containers via ocean carriers and subsequent inland transportation of those containers via drayage carriers. D-0010-0011, Roche Expert Report ¶¶ 4, 8; D-2471-2472, Roche Rebuttal Expert Report ¶¶ 5, 8.

301. Flexport's 143(b)(6) corporate representative, Tanner, inaccurately asserted that obtaining chassis during the pandemic was difficult because marine terminal operators and master carriers had an absolute market on chassis pools. D-0015, Roche Expert Report ¶ 24.

302. In contrast to Flexport, Mohawk was able to source chassis during the pandemic by contracting with drayage carriers that operated their own private fleets of chassis, which allowed those carriers to move in and out of marine terminals more efficiently. D-0016, Roche Expert Report ¶ 26.

303. As the originator of D&D charges based on its own rules tariff, Flexport was responsible for assessing the reasonableness of the D&D charges it invoiced, including by

understanding the underlying causes of the charges before assessing them to Peloton. D-0018, Roche Expert Report ¶ 35.

304. Flexport's practices related to D&D charges pursuant to its rules tariff are regulated by the FMC. D-0019-0020, Roche Expert Report ¶ 43.

305. Most NVOCCs, including Mohawk, do not file D&D rules tariffs but instead choose to pass through D&D charges invoiced by the underlying carriers to their customers in order to maintain maximum transparency. D-0020, Roche Expert Report ¶ 45.

306. Flexport was required under the FMC to ensure that D&D charges served the purposes of the Incentive Principle. D-2485, Roche Rebuttal Expert Report ¶ 55.

307. Flexport was also required under FMC regulations to have an established dispute resolution policy with respect to D&D charges. D-2485, Roche Rebuttal Expert Report ¶ 57.

308. Mohawk follows a process whereby it assesses the underlying cause of D&D charges upon receipt of an invoice and disputes those charges with the underlying carrier if they are not reasonable. Mohawk has had a good track record of successfully mitigating or cancelling unreasonable D&D charges on behalf of its clients. D-0020, D-0025, Roche Expert Report ¶¶ 45, 62-64.

309. If Mohawk determined from its assessment that it had caused the delay resulting in the D&D charges, Mohawk would absorb those costs rather than invoicing them to the client. D-0025, D-0027, Roche Expert Report ¶ 62, 72; B-3119, Roche Dep. Tr. 145:18-25.

310. By contrast, Flexport did not perform any assessment of D&D charges before invoicing them beyond systematically checking if the correct number of free days were applied under its rules tariff. D-0018, D-0023-0024, D-0025-0026, Roche Expert Report ¶¶ 34, 60, 66-67; D-2487, Roche Rebuttal Expert Report ¶ 62.

311. Flexport lacked the proper procedures to verify the underlying causes of delays in moving Peloton Shipments as required under the Interpretive Rule. D-0020, D-0023, Roche Expert Report ¶¶ 47, 57.

312. Flexport also demonstrated a lack of knowledge of fundamental aspects of transportation operations, such as the fact that the Los Angeles and Long Beach marine terminals require truckers to supply their own chassis to pick up containers and not, as Flexport believed, that containers at those terminals were required to be loaded on chassis prior to pickup by truckers. D-0023, Roche Expert Report ¶ 58.

B. Peloton's Liability Expert John McCown's Expert Opinions

313. Peloton's second liability expert, John McCown, has over four decades of operating and investment experience in the container shipping industry. D-1729, McCown Expert Report ¶ 4.

314. McCown's shipping expertise began with U.S. Lines, one of the largest container shipping companies in the world. D-1729-1730, McCown Expert Report ¶ 6.

315. In the 1990s, McCown co-founded Trailer Bridge, a U.S.-flagged container carrier providing complete integrated customer service, including through transportation services. D-1730, McCown Expert Report ¶¶ 8, 9.

316. McCown was involved in all operating and commercial aspects of Trailer Bridge's business, including policies related to D&D. D-1730, McCown Expert Report ¶ 10.

317. McCown attested that "Flexport was providing store door service to Peloton and it was understood by the parties that movements were under these terms unless otherwise specified by Peloton." D-1734-1735, McCown Expert Report ¶ 26; *see also* D-1734-1735, McCown Expert Report ¶¶ 29, 34.

318. The term “store door service” is synonymous with and can be used interchangeably with the terms “through service,” “end-to-end service,” and “port-to-door service,” as these terms all denote a transportation service that “combines ocean and inland transportation and is not complete until the load gets to its final destination.” D-1734-1735, McCown Expert Report ¶ 26, 32.

319. The prices quoted and charges assessed by Flexport for ocean and inland transportation as well as the actual carriage that Flexport provided with respect to Peloton cargo clearly indicate that Flexport was responsible for handling the entire end-to-end movement of Peloton containers to their final inland destination. D-1738, McCown Expert Report ¶ 45.

320. Delays that occurred in connection with Flexport’s handling of transportation of Peloton containers and resulted in D&D charges were Flexport’s responsibility. D-1734, McCown Expert Report ¶ 26.

321. Flexport operated and held itself out as a common carrier with respect to handling Peloton Shipments, not as a transportation broker or agent. D-1734, D-1742, McCown Expert Report ¶¶ 27, 61.

322. A common carrier is a term used to reflect the nature of both vessel-operating common carriers (“VOCCs”) and NVOCCs. D-1735, McCown Expert Report ¶ 30.

323. The obligations of a common carrier are the same regardless of whether the common carrier is a VOCC or NVOCC. D-1740-1741, McCown Expert Report ¶¶ 53-56.

324. As an NVOCC, Flexport “fully supplanted the role of the vessel operating common carrier and undertook the role of the inland common carrier.” D-1739, McCown Expert Report ¶ 51.

325. Under store door terms, “[u]nless Flexport could show specific reasons that Peloton was actually solely responsible for a delay, the default should have been that the carrier, Flexport, was responsible for and/or absorbed, or waived, all charges resulting from delays in the model handoff and transportation modes (i.e. detention and demurrage).” D-1740, McCown Expert Report ¶ 55.

326. Conditions such as trucker shortages, chassis shortages, terminal congestion, shortages of terminal appointments, return of empty containers, and the availability of empty return locations “are categorically circumstances that Peloton had no ability or capability to cause.” D-1740, McCown Expert Report ¶ 55.

327. Based on McCown’s extensive experience in the shipping industry, he found that Flexport “inject[ed] pricing and operational inefficiency” into Peloton container movements “that invariably would be adverse to it meeting its commitment to provide end-to-end service to peloton in terms of timeliness and minimizing demurrage and detention.” D-1741, McCown Expert Report ¶ 59.

328. In McCown’s view, “Flexport’s demurrage and detention arrangement was structured to generate profit for Flexport, not to promote freight fluidity,” which “runs contrary to long-standing industry practices and the FMC’s guidance that the primary purpose of demurrage and detention is to incentivize the movement of cargo.” D-1734, McCown Expert Report ¶ 28.

329. Flexport assessed D&D to Peloton “without any independent cost recovery purpose,” as Flexport did not own any of the equipment used to handle Peloton Shipments, “and without serving any independent incentivizing function,” as Peloton was not the party responsible for the movement of cargo. D-1745, McCown Expert Report ¶ 70.

330. In McCown’s assessment, Flexport’s D&D practices “effectively disincentiviz[ed] Flexport from moving cargo since Flexport’s failure to properly perform its inland delivery obligations results in Flexport itself receiving demurrage and detention revenue.” D-1746, McCown Expert Report ¶ 74.

331. Flexport “had no meaningful procedure to assess whether it or Peloton was responsible for the demurrage and detention charges, and Flexport did not do such assessment,” which resulted in situations where, for example, Flexport assessed demurrage charges against Peloton even though the reason for late container pickups from marine terminals was due to Flexport’s equipment shortages, trucker shortages, transportation delays, and port congestion. D-1748, McCown Expert Report ¶ 87; D-2352, D-2362, McCown Expert Report Ex. 5, 166: 2-25, 176: 12-18.

332. McCown noted that it is “entirely at the discretion of an NVOCC which underlying VOCC it decides to move containers with.” D-1741, McCown Expert Report ¶ 57.

333. McCown also recognized that Flexport chose to not concentrate Peloton Shipments with certain carriers, which exacerbated pre-existing delays. D-1741, McCown Expert Report, ¶ 57-59 (“Flexport utilized at least 14 different VOCCs to move the Peloton loads, i.e. a lack of carrier concentration resulting in inefficiency and unnecessary demurrage and detention charges for Peloton...[t]he lack of carrier concentration was a choice made by Flexport without input from Peloton in at least two ways involving increased costs and slower service”).

XI. PELOTON’S DAMAGES EXPERT PROVIDED THOROUGH VALIDATION OF PELOTON’S DAMAGES THROUGH CONTAINER-BY-CONTAINER AND SHIPMENT-BY-SHIPMENT ANALYSIS

334. Peloton’s expert as to damages is Gregory E. Smith with Berkeley Research Group, LLC. D-1430, Smith Expert Report ¶ 1.

335. Flexport did not submit any rebuttal to Smith's Expert Report or Supplemental Expert Report. F-0123-28, RE: Deposition of Witness Greg Smith at 1-5; F-0130-33, RE: Peloton v. Flexport; Supplemental Expert Report at 2-5.

336. Although Peloton made Smith available for deposition, Flexport chose not to conduct his deposition. F-0122-0124, RE: Deposition of Witness Greg Smith.

337. Smith is a Certified Public Accountant, Chartered Global Management Accountant, and Master Analyst in Financial Forensics with over thirty years of accounting, consulting, and business experience and "considerable experience analyzing financial and economic issues related to the operations of companies participating in the transportation industry, including ocean shipping, port operations, and inland transportation." D-1430-1431, Smith Expert Report ¶ 3.

338. Smith issued an initial expert report dated April 21, 2025 and a supplemental expert report dated May 19, 2025. D-1428-1655, Smith Expert Report.

339. In his analysis, Smith assumed that Flexport is liable to Peloton for damages for the violations alleged in Peloton's Verified Amended Complaint, as is the standard practice in evaluating damages. D-1432, Smith Expert Report ¶ 8.

340. In his initial expert report Smith concluded that Peloton has incurred direct damages of at least \$33.7 million for inland transportation payments in connection with Flexport shipments. D-1432, Smith Expert Report ¶ 8.

341. In contracting with Flexport, Peloton understood that Flexport would arrange for delivery of Peloton's goods to Peloton's inland facilities and for the return of empty containers and chassis to the ports under store door arrangements. D-1434-1435, Smith Expert Report ¶ 13.

342. During the period from 2020 through 2022, "Flexport invoiced significant charges for demurrage, detention, yard storage, and warehouse storage" despite the fact that "Flexport was

responsible for Store Door moves of Peloton goods” and “as such was responsible for the entire move, to include delivery of the containers to the final destination and the return of those containers and the chassis used to deliver them.” D-1437, Smith Expert Report ¶¶ 20-21.

343. To assess the damages suffered by Peloton, Smith reviewed substantial documentation produced by Flexport and Peloton, including data tables, Flexport-issued invoices, and an Excel file produced by Flexport containing data on all demurrage and detention charges assessed from the period 2020 through 2022, referred to by Smith as the “Flexport Charge File.” D-1431, D-1438-1439, Smith Expert Report ¶¶ 6, 24.

344. Smith also reviewed pleadings and deposition testimony and interviewed Peloton employees David Beyar, Senior Manager of Transportation Operations, and Jeremy Robertson, Discovery Manager. D-1431, Smith Expert Report ¶ 6.

345. Peloton’s damages, shown in Exhibit No. 1 to the Smith Expert Report, were extracted from the Flexport Charge File, which contains line-item records on the amounts Flexport charged in connection with Peloton Shipments, including the Flexport shipment ID, the container number, and the amount of demurrage and/or detention charged. D-1438-1439, Smith Expert Report ¶ 24.

346. Because the Flexport Charge File does not include data on yard storage or warehouse storage charges paid by Peloton, Smith calculated Peloton’s damages in connection with yard and warehouse storage charges by reviewing individual invoices and supporting documentation to independently verify the charges identified in Exhibit A to Peloton’s Verified Amended Complaint, which did account for storage charges. D-1439, Smith Expert Report ¶ 25.

347. Smith’s analysis of Flexport invoices confirmed that the total charges identified in Exhibit A to the Verified Amended Complaint accurately reflect the total amount of demurrage,

detention, and yard and warehouse storage charges invoiced to Peloton. D-1439, Smith Expert Report ¶ 25.

348. Smith also reviewed data obtained from Peloton's Coupa system, which houses information on all amounts paid by Peloton to Flexport. D-1439-1440, Smith Report ¶ 26.

349. The data obtained from the Coupa system, summarized in Exhibit 3 to the Smith Expert Report, show that Flexport routinely grouped several individual shipment invoices into consolidated invoices that were then paid by Peloton. D-1440-1441, Smith Expert Report ¶ 28.

350. For every consolidated invoice listed in Exhibit 3, Smith was able to verify that the charges associated with the individual invoices included in the consolidated invoice, including the demurrage, detention, and storage charges listed in Exhibit 1, were in fact paid by Peloton. D-1441, Smith Expert Report ¶ 29.

351. Exhibit 1 details the charges incurred by Peloton in connection with 8,191 individual Peloton containers for which Flexport handled the inland transportation from 2020 through 2022. D-1469-1589, Smith Expert Report, Ex. 1.

352. For each container listed in Exhibit 1, Smith identified the Flexport shipment ID associated with the container, the month and year the invoice was issued, the total inland transportation costs associated with the container, and the nature and amount of each inland transportation charge, separated into three discrete categories: (a) ocean demurrage, (b) detention, and (c) yard and warehouse storage. D-1469-1589, Smith Expert Report, Ex. 1.

353. For example, Exhibit 1 shows that, for one container associated with the Flexport shipment ID 1230307, Flexport issued an invoice in November 2021 charging Peloton \$60,240 in demurrage and \$3,480 in storage charges. By way of another example, Exhibit 1 shows that, for a container associated with the Flexport shipment ID 1282726, Flexport issued an invoice in

February 2022 charging Peloton \$9,940 in detention charges and \$24,530 in storage charges. D-1469-1589, Smith Expert Report, Ex. 1.

354. Exhibit No. 2 to the Smith Report provides the cumulative charges for each category by fiscal quarter. D-1590, Smith Report, Ex. 2.

355. In 2020, Peloton was charged a total of \$1.8 million in D&D fees by Flexport, comprising \$41,338 in demurrage, \$753,460 in detention, and \$1 million for yard and warehouse storage. D-1590, Smith Expert Report Ex. 2.

356. By comparison, in 2022, Peloton was charged \$21.5 million in D&D fees by Flexport, which included \$11 million in demurrage, \$8.6 million in detention, and \$1.7 million for yard and warehouse storage. D-1590, Smith Expert Report Ex. 2.

357. Of the \$33.7 million in total inland transportation charges that Peloton paid to Flexport, approximately \$13.8 million (41 percent) was for demurrage, \$16.2 million (48 percent) was for detention, and \$3.7 million (11 percent) was for yard and warehouse storage. D-1442, Smith Report ¶ 34; D-1469-1589, Smith Expert Report Ex. 1.

358. Excluding charges prior to May 2021, which total approximately \$4.9 million, Peloton's direct damages amount to at least \$28.8 million. D-1442-1443, Smith Expert Report ¶ 36.

359. Smith issued a supplemental expert report dated May 19, 2025, based on documents produced by Flexport after the issuance of his initial expert report on April 21, 2025. D-1656-1727, Smith Supp. Expert Report.

360. Smith's supplemental report was based on analysis of data from three Excel spreadsheets produced by Flexport that aggregated shipment information maintained by Flexport in its CORE system, known collectively as the "Peloton Events Download," "Portal Events Files,"

or “Shipment Files.” D-1658, Smith Supp. Expert Report ¶ 2; D-0624, Peckham Dep. Tr. 126:2-129:10.

361. According to Flexport, these Shipment Files pulled from the CORE system include *all* information about Peloton Shipments handled by Flexport, including the “physical, actual movement of containers ... from pick up to communication with vendors, trucking partners, [and] ocean carriers.” D-0624-0626, Peckham Dep. Tr. 126:2-128:5; A-0242, Tanner Decl. ¶¶ 9-12.

362. The Portal Events Files contain information available in the CORE system that Flexport used to monitor and manage Peloton Shipments, including messages logged by Flexport employees regarding events affecting the handling and timing of container and shipment movements, such as lack of available chassis or lack of available appointments at marine terminals to pick up loaded containers or return empty containers. D-1660-1661, Smith Suppl. Expert Report ¶ 9.

363. The CORE system was the primary operating platform that Flexport used to store information related to the movement of Peloton Shipments, including container tracking numbers, transit schedules, FlexIDs, delivery locations, and delivery timeframes. *See* B-0161-0164, Flexport 143(b)(6) 161:8-164:4; B-0365, Tanner Dep. Tr. 96:1-17; D-1661-1662, Smith Supp. Expert Report ¶ 11.

364. Smith’s supplemental report provided insight into the underlying causes of the demurrage, detention, and storage charges for each disputed shipment and whether those causes were attributable to conduct by Flexport or Peloton. D-1658, Smith Supp. Expert Report ¶ 2.

365. Smith’s supplemental report confirmed the conclusion in his initial report that, assuming Flexport’s liability for the Shipping Act violations alleged in Peloton’s Verified Amended Complaint, Peloton’s direct damages amount to at least \$33.7 million. D-1659, Smith

Supp. Expert Report ¶ 6. Because not all shipments in the Portals Events Files contained information on the causes of delays and because Flexport employees did not use consistent nomenclature to describe delay-related issues, Smith developed and ran a series of search terms in order to identify all entries that potentially contained information on the causes of inland transportation charges invoiced to Peloton. 1662-1663, Smith Supp. Expert Report ¶ 12 (“Flexport did not systematically capture information related to the shipments related to the reasons for the delays that led to the demurrage, detention, and storage charges”).

366. As part of this exercise, Smith developed four categories of search terms to identify the shipments for which Flexport bears some responsibility for the inland transportation costs: (i) lack of available chassis, (ii) inland carrier delays, (iii) port congestion, and (iv) lack of available appointments at the ports. D-1663-1664, Smith Supp. Expert Report ¶¶ 14, 15.

367. To provide a complete analysis, Smith also developed search terms to identify the shipments for which Peloton appeared to bear some responsibility for the inland transportation costs, such as where there was a capacity issue at a Peloton facility, a request by Peloton to delay a delivery, or a container was not emptied and ready to return to the port. D-1663, Smith Supp. Expert Report ¶ 13.

368. Utilizing the developed search terms, Smith identified all Peloton Shipments listed in the Portal Events Files that contained relevant information on the cause of underlying delays and mapped each of those charges to the charges detailed in Exhibit 1 to his initial report. D-1664-1665, Smith Supp. Expert Report ¶ 16.

369. Exhibit Number 3 to Smith’s Supplemental Report (“Supplemental Exhibit 3”) lists all Peloton Shipments handled by Flexport that were included in Exhibit 1 to the initial report, including the Flexport shipment ID, the month and year the invoice was issued, the nature and

amount of the inland transportation charges associated with each shipment (ocean demurrage, detention, yard and warehouse storage), and the total charges for that shipment. D-1670-1726, Smith Suppl. Expert Report, Ex. 3; D-1664-1665, Smith Suppl. Expert Report ¶ 16.

370. For each shipment, Supplemental Exhibit 3 further identifies the nature and number of delay-related events associated with that shipment, according to five discrete categories: (1) no chassis, (2) inland carrier delay, (3) congestion, (4) no appointment, and (5) Peloton Issue. D-1670-1726, Smith Suppl. Expert Report, Ex. 3; D-1664-1665, Smith Suppl. Expert Report ¶ 16.

371. For example, Supplemental Exhibit 3 shows that, for the shipment bearing the shipment ID 1209921, Flexport invoiced Peloton for \$35,450 in demurrage and \$480 in yard and warehouse storage. Moreover, information from the Portal Events Files indicated that there were 10 documented instances of inland carrier delays, 11 documented instances of port congestion, and two documented instances of lack of available terminal appointments associated with the container movements for that shipment, all events that fell within Flexport's responsibility. D-1670-1726, Smith Suppl. Expert Report, Ex. 3; D-1663-1664, Smith Suppl. Expert Report ¶¶ 14-15.

372. Smith identified 238 distinct instances where Flexport charged Peloton D&D despite recording in its Shipment Files that there was a lack of available terminal appointments for picking up or returning containers. D-1670-1726, Smith Suppl. Expert Report, Ex. 3.

373. Smith further identified 5,596 instances in which Flexport charged Peloton D&D based on inland carrier delays, such as trucking delays, rail transfer delays, missed schedule pickups, and truck breakdowns. D-1670-1726, Smith Suppl. Expert Report, Ex. 3.

374. Inland carrier delays fall within Flexport's responsibility because Flexport was the party that hired trucking companies to provide drayage services. D-0015, D-0018, Roche Expert Report ¶¶ 21, 22, 37; D-2483-2484, Roche Rebuttal Expert Report ¶ 50. Exhibit No. 4 to Smith's

supplemental report categorizes the inland transportation charges invoiced to Peloton according to whether data available in CORE indicated that the underlying delays were attributable to solely to Flexport, solely to Peloton, or to both parties, or whether there was insufficient information indicating responsibility. D-1727, Smith Supp. Expert Report, Ex. 4.

375. Of the \$33.7 million in inland transportation charges invoiced by Flexport to Peloton from the period of 2020 through 2022, only \$134,520 of those charges were caused by a delay that could be attributed to Peloton and not to Flexport. D-1727, Smith Supp. Expert Report, Ex. 4; D-1664-1665, Smith Supp. Expert Report ¶ 16.

376. Smith further notes that these \$134,520 in charges attributable to Peloton may be overly inclusive “as it may be the case that Peloton initially had a capacity issue that caused a delay, but Flexport was delayed in delivering a container even after Peloton communicated that it was ready to receive the shipment.” In such a case, “Peloton would bear responsibility for the initial delay, but Flexport would be responsible for the later portion of the delay.” D-1664-1665, Smith Supp. Expert Report ¶ 16.

377. Smith’s analysis also indicates that approximately \$1.7 million in inland transportation charges resulted from delays arising both from conduct by Peloton and conduct by Flexport related to the same shipment. D-1727, Smith Supp. Expert Report, Ex. 4; D-1665, Smith Supp. Expert Report ¶ 17.

378. Of the \$33.7 million in D&D charges invoiced to Peloton, \$26.0 million were caused by delays attributable solely to Flexport, with no indicia of responsibility by Peloton. D-1727, Smith Supp. Expert Report, Ex. 4; D-1665, Smith Supp. Expert Report ¶ 18.

379. Approximately \$5.8 million of the charges lacked specific information indicating whether the cause of those charges was attributable to Flexport or Peloton, indicating that Flexport

did not include such information in its CORE system before issuing the invoices for those shipments to Peloton. D-1665-1666, Smith Supp. Expert Report ¶ 19.

380. Because Flexport was responsible as the NVOCC performing store door moves for handling the inland transportation of Peloton containers, including delivery to Peloton's inland facilities and return of the empty containers, these \$5.8 million in charges should be attributed to Flexport. D-1665-1666, Smith Supp. Expert Report ¶ 19.

381. Accordingly, of the \$33.7 million in inland transportation charges identified in Exhibit 1 to Smith's Expert Report, Flexport bore sole responsibility for \$31.8 million of those charges and bore at least some responsibility for an additional \$1.7 million. D-1727, Smith Supp. Expert. Report, Ex. 4; D-1666, Smith Supp. Expert Report ¶ 20.

382. Flexport did not provide its own damages expert to rebut Smith's damages analysis. F-0141, Decl. of K. Little at 1.

XII. FLEXPORT'S VIOLATIONS OF DISCOVERY ORDERS AND IMPROPER LITIGATION TACTICS

A. Flexport's Limited Production and Discovery Order Violations

383. On December 27, 2024, after reviewing Flexport's responses to Peloton's Discovery Requests, Peloton's counsel provided Flexport with a written summary and explanation of the deficiencies in those responses, including, among other things, Flexport's failure to provide any substantive responses to several of Peloton's Discovery Requests regarding core issues in this proceeding, and unilaterally limiting its document search and production to April 1, 2021 onward, rather than the relevant time period of January 1, 2020 onward. *See* A-0262-0284, Ex. 1 to Complainant's Motion to Compel.

384. Prior to and during a meet and confer held on January 3, 2025 to discuss the parties discovery dispute, Flexport's counsel represented that they would not produce earlier documents

because they did not consider them relevant. A-0251, Dkt. 32 Complainant's Motion to Compel at 2.

385. On January 14, 2025, Peloton filed a Motion to Compel related to Flexport's discovery deficiencies. A-0250, Dkt. 32 Complainant's Motion to Compel.

386. In Exhibit 1 to this Motion to Compel, Peloton explained that Flexport's initial production actually only included shipment data commencing in October 2021 (not even reaching Flexport's unilateral cut-off of April 2021) and only covered 943 of the over 3,200 Peloton Shipments raised in the Amended Complaint. A-0268, A-0275, Exhibit 1 to Complainant's Motion to Compel at 7, 14.

387. On January 21, 2025, Flexport filed a response to Peloton's Motion to Compel, in which it stated, "[t]o be clear, Flexport produced all documents relating to every shipment for which charges were assessed as identified in Peloton's Exhibit A." A-0096, Dkt. 33 Respondent's Response to Peloton's Motion to Compel at 7; *see also* A-0124-0125, Dkt. 62 Order on Pending Motions at 2-3.

388. ***Over two months later***, on March 25, 2025, following a meet and confer between counsel the previous night regarding ongoing discovery disputes, Flexport counsel emailed Peloton counsel, "regarding the document production, I looked into this and this was on me, not Flexport. When I uploaded the files into the dropbox, the transfer was not completed. I have now uploaded the missing invoices and bills of lading. The DOs are nearly completely uploaded and I will do the NRAs next." F-0055, RE: Peloton v. Flexport – Objections to 143b6 Notice and request for meet and confer (March 25, 2025 10:10 pm email from R. Borak to K. Little and A. Skopec).

389. Also on March 25, 2025, during a hearing before the ALJ, Flexport counsel stated that, "I did agree to look into this issue as to the October [cutoff], we are looking into that if [] that

was inadvertent. But we are checking to see if that was an Excel issue or [] whatever that is” and further represented that Flexport “will look into that and provide the details.” C-0274, Breck Dep. Ex. 3 at 21:56.

390. On March 26, 2025, the Presiding Officer issued an order directing Flexport “to provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.” A-0119, Dkt. 47, Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel (“Respondent is **ORDERED**, to provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.”).

391. The Presiding Officer further ordered that “Respondent state in writing whether it has or had any policies or procedures in effect from January 2021 to December 31, 2022, relating to the assessment of detention and demurrage charges, or free-time for containers and/or chassis, including whether extensions of free-time would be provided under certain circumstances, other than its Rules Tariff. Respondent must also identify the applicable sections of its Rules Tariff that address detention, demurrage, provision of chassis, free-time, and 2 provisions for extending free-time or obtaining a waiver of detention or demurrage charges, if any.” A-0119-0120, Dkt. 47 Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel at 1-2.

392. On April 6, 2025, Flexport produced 3,306 invoices that were largely duplicative of their prior production with the absence of Bates stamps and a spreadsheet containing some information for shipments from April 2021-October 2021. F-0142, Decl. of K. Little at 2.

393. Flexport failed to include any new delivery orders, NVOCC NRAs, or bills of lading, as it stated it would in its March 25 email, and did not produce any other communications between itself and its carriers as required by the March 26 order. F-0142-F-0143, Decl. of K. Little at 2-3.

394. Via email on April 11, 2025, Flexport counsel certified pursuant to the March 26, 2025 Order that, “[t]he policies or procedures in effect from January 1, 2021 to December 31, 2022 relating to the assessment of detention and demurrage charges, or free-time for containers and/or chassis, including whether extensions of free-time would be provided under certain circumstances, were set forth in Flexport’s Rules Tariff, the terms of the MSAs, NRAs or NRAs (if applicable) and the regulations and guidelines as set forth by the Federal Maritime Commission. F-0067, RE: Peloton v. Flexport; Confidential Information (April 11, 2025 4:17 email from R. Borak to K. Little).

395. On April 22, 2025, the Presiding Officer ordered Flexport, to the extent it had not already done so, to produce the communications between it and various entities regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.” A-0122, Dkt. 52 Order on Complainant’s Third Motion to Extend Schedule at 2.

396. On April 25, 2025, Flexport produced only a spreadsheet containing some information for shipments from August 2020-April 2021, duplicative copies of its D&D tariffs, an OSRA addendum spreadsheet, and seven emails. F-0142, Decl. of K. Little at 2.

397. On May 15, 2025, the Presiding Officer issued an order which stated:

To the extent that it was not clear, ***the records, including bills of lading, invoices, and the communications between Flexport and the contractors, marine terminals, and ocean carriers, as well as the internal communications regarding Peloton’s containers or shipments, are relevant to Peloton’s claims and are compelled.*** To the extent that they have not been provided, Flexport is ORDERED to produce any remaining

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records by May 20, 2025, and to then state in writing that there are no further records responsive to the request.

While shipments may have occurred prior to the three-year statute of limitations for reparations, *invoices that for those shipments may be when Peloton was put on notice of alleged Shipping Act violations*. Accordingly, to the extent it has not supplemented its response to RFP 5, Flexport is ORDERED to produce *any remaining records for the period from May 2021 through December 2022 by May 20, 2025*.

If Flexport has policies or procedures and/or trains employees on how or when to assess detention and demurrage charges, or what factors go into making that assessment, that information could lead to admissible evidence. Accordingly, *if Flexport has or had any policies, procedures, or training programs related to demurrage and detention in effect from May 2021 through December 2022*, it is ORDERED to produce them by May 20, 2025.

A-0125, Dkt. 62 Order on Pending Motions at 3 (emphasis added).

398. On May 20, 2025 Flexport made its only production in response to this order—four partial employee training videos on the topics of D&D. The four videos have a total run time of 5 minutes and 2 seconds and are obviously small portions of larger training videos on this subject. F-0143, Decl. of K. Little at 3.

399. On June 30, 2025, the Presiding Officer ordered Flexport to produce all responsive documents with 15 days to Peloton’s RFP 4, which requested:

[A]ll Documents and records in connection with the Peloton Shipments, including all contracts and agreements, service agreements with Ocean Carriers, negotiated service arrangements (NSAs), negotiated rate arrangements (NRAs), freight invoices, bills of lading, waybills, Documents and Container management data, Motor Carrier work orders, Motor Carrier invoices, Motor Carrier bills of lading, linehaul bills of lading, freight invoices, Demurrage and Detention invoices, Marine and Inland Terminal data and records, railroad records, Motor Carrier records, and payment records.

A-0299, Dkt. 72, Order on Pending Motions and Complainants Unilateral Status Report and Amending Scheduling Order at 15.

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400. Also in the June 30 Order, the Presiding Officer ordered Flexport to produce responsive documents for years 2020 to 2021 within 15 days to Peloton's RFP 13, which requested:

[A]ll Documents, including policies, standards, guidelines, practices, procedures, internal deliberations, reports, memorandums, presentations, training or analyses related to (1) Flexport's charging of Detention & Demurrage and (2) compliance with the Shipping Act of 1984, 46 U.S.C. §§ 41102(c), 41102(d), 41104, as amended, including regulations, interpretive guidance, and adjudicatory decisions relating to Demurrage and Detention in the U.S. from 2018-Present.

A-0301, Dkt. 72 Order on Pending Motions and Complainants Unilateral Status Report and Amending Scheduling Order at 16.

401. On July 15, 2025, Flexport produced 19 publicly available versions of their D&D tariffs from 2019-2021. Flexport produced no additional documents in response to the June 30 order. F-0143, Decl. of K. Little at 3.

402. Flexport produced no communications with ocean carriers in response to the Presiding Officer's four discovery orders. F-0143, Decl. of K. Little at 3.

403. Flexport tried to justify the lack of production by claiming that "an NVOCC typically does not send emails to ocean carriers. All communication is sent via EDI or similar mechanism. Second, as has been made clear in discovery, the correspondence regarding free time and D&D was between the trucker and the ocean carrier." A-0298.

404. This explanation directly conflicts with testimony from Flexport's Corporate Representative regarding communications:

Flexport, to the best of its ability, would attempt to mitigate the demurrage by reaching out to the master carrier or the marine terminal operator explaining the situation of no available chassis and asking them to waive last free day and if successful, we would then pass on that to Peloton."

I can just go back to, I get their frustration. I'm in it with them. I'm sure we contacted a master carrier or a MTO. We were in constant communication with them.

B-0192, B-0206-0207, Flexport 143(b)(6) Dep. Tr. 192:18-23, 206:25-207:3.

405. Flexport produced a mere seven email chains with its 36 truckers that moved Peloton Shipments in response to the Presiding Officer's four discovery orders. F-0143, Decl. of K. Little at 3.

406. Flexport has asserted the communications with truckers were produced through the Peloton Events Download from its portal. A-0243, Exhibit A to Dkt. No. 71 Flexport Response to Status Report Declaration of Ryan Tanner at 3.

407. A review of the Peloton Events Download reveals that it is more akin to a log without substantive communications, as many are generic event labels with no additional context.

33395	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 15:02:03	Nick Peckham
	Stop Off Fee reported.			
33416	Container BEAU4814580: 1 container.	1151058	2021-08-17 15:38:52	Ian Weiland
33434	Cargo delivered to SFO - Perris, CA	1151058	2021-08-17 16:08:12	Lenilyn Plata
33545	Container WHSUS180827 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1151058	2021-08-17 17:40:40	samalaulu peni
33671	Trucking Delay: Other	1151058	2021-08-17 19:21:26	Lenilyn Plata
33672	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 19:21:28	Lenilyn Plata
33673	Updated Estimated Time of Departure (ETD)	1151058	2021-08-17 19:21:30	Lenilyn Plata
33674	Trucker Confirmed Scheduled Date	1151058	2021-08-17 19:21:30	Lenilyn Plata
33675	.This message was deleted.	1151058	2021-08-17 19:21:46	Lenilyn Plata
33681	Trucking Delay: Other	1151058	2021-08-17 19:26:27	Lenilyn Plata
33682	Trucker Confirmed Scheduled Date	1151058	2021-08-17 19:26:30	Lenilyn Plata
33683	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 19:26:32	Lenilyn Plata
33684	Updated Estimated Time of Departure (ETD)	1151058	2021-08-17 19:26:33	Lenilyn Plata
33685	.This message was deleted.	1151058	2021-08-17 19:26:44	Lenilyn Plata

Excerpt of Peloton Events Download produced by Flexport. D-2646; D2647; D-2735.

408. The content of the seven email chains produced make it evident that substantially more communications were held between Flexport and its truckers than were produced. F-0141-43, Decl. of K. Little at 1-3.

409. Deposition testimony and statements from Flexport's CEO establishes that there should be substantial communication between Flexport and its contracted truckers, which has not been produced. *See* B-0601, Peckham Dep. Tr. 103:18-23 (communications with preferred

truckers happened “[o]n the Flexport platform you can tag truckers and have a conversation there, or email”); 103:19-23 (“There was always some sort of communication, whether it was my job responsibility or not. You know, if a client asked for an update, I would try to get one from the trucker.”); B-0663-0664, 165:21-166:5 (“everything that we did when talking about, you know, operations, movement of things, it is always in reference to the container or in reference to the Flex ID. So you can just copy the container number and copy/paste, put it into your email, and you will see the communications about it as well.”); “Starting & Scaling Flexport with Ryan Petersen EM Group Chat #166,” 00:11:00, https://www.youtube.com/watch?v=_eaxelB-mKs (last visited August 4, 2025) (“with our Trucking technology we did that like fully manual for the first three years of our business or so where we would just email truckers and assign loads to them by email and then they’d deliver them and they’d communicate back to us and our team would sort of update the app that kept the customers informed ... then we developed a software application for them with mobile app for their drivers and a dispatcher app that allows them to assign the loads to the drivers...”)

410. Peloton learned from JC Transport, *not Flexport*, that Flexport used a platform called “Transmission” for at least some of its communications with truckers. F-0063, RE: Peloton v. Flexport; Subpoena.

411. It appears that Transmission facilitates logistics functions, including communications with trucking companies, delivery coordination, proofs of delivery, work orders, and terminal appointments. F-0063-0064, RE: Peloton v. Flexport; Subpoena.

412. Flexport has not produced any of information or communications from Transmission. F-0063-0064, RE: Peloton v. Flexport; Subpoena; F-0138-40, Letter to Flexport re Discovery Deficiencies; F-0141-43, Decl. of K. Little at 1-3.

413. Deposition testimony also established that there should be substantial internal communication between Flexport employees and teams. *See* B-0636, Peckham Dep. Tr. 138:10-19 (Q: Earlier you had discussed this split that happened between the operations team and the client solutions team in relation to shipments. How did that process work when the operations team was handling the actual shipment but the client solutions team was handling invoicing? A: Just like constant communication. Talked to them a lot, leaving internal notes within Core, emails.”).

414. Peckham described how he used internal notes when reviewing shipments:

Q: Earlier you discussed that there was notes you would sometimes look at in reviewing the shipments. Do you remember that discussion?

A: Mm-hmm.

Q: Where were those notes contained?

A: Within Core.

Q: Where within Core?

A: There is a notes section called “Internal Notes.”

B-0662, Peckham Dep. Tr. 164:7-16.

415. Despite their availability on the Flexport platform, these internal notes have not been produced. F-0143, Decl. of K. Little at 3.

416. Flexport’s platform includes a separate application related to warehouse information. Flexport has not produced this information. F-0138-40, Letter to Flexport re Discovery Deficiencies.

417. Flexport produced limited internal emails that contain little discernible evaluation or substantive analysis of the D&D charges on the 7,000+ shipments at issue. A-0137, Dkt. No. 67.

418. Additionally, although Flexport’s platform includes a warehouse application with information relevant to this matter, this data has not yet been produced. F-0138-40, Letter to Flexport re Discovery Deficiencies.

419. Flexport witnesses testified regarding trainings and repositories of documents and internal communications related to FMC compliance. *See, e.g.*, B-0294-0295, Tanner Dep. Tr. 25:21-26-24 (describing “Flexport Academy,” a two-week academy for all new Flexport employees discussing FMC compliance amongst other topics⁸); B-0331-0333, 62:16-64:7 (prior to June 2022, Flexport had “numerous knowledge-base[d] pages related to detention and demurrage ... there was directive, guidance, and information available to all employees” and all historical content is still available); B-0300-0302, 31:25-33:4 (Tanner communicated with Steve Lee, Flexport Vice President of Regulatory and Trade Compliance regarding FMC compliance policies and procedures via email).

420. Flexport’s own production references multiple Google documents that suggest the existence of written internal policies that were never produced. *See, e.g.*, E-0022, FLEXPORT 00007747 (contains broken links to multiple Google documents, including “Port Congestion: Invoicing SOPs – D&D Dispute Process” and “Summary of D&D and Trucking Invoicing Resolutions”).

421. None of these documents, communications, or trainings have been produced. A-0279-80, Exhibit 1 to Complainant's Motion to Compel; F-0141-43, Decl. of K. Little at 1-3. F-0138-40, Letter to Flexport re Discovery Deficiencies.

422. On July 17, 2025, Peloton sent correspondence to Flexport outlining the ongoing deficiencies in Flexport’s document production and specifically requested either access to the Warehouse application or production of the relevant Warehouse data. As of this date, Flexport has not produced the requested information. F-0138, Letter to Flexport re Discovery Deficiencies.

⁸ The FMC compliance training included in Flexport Academy is a pre-recorded training, given by Michael Baekbol, Director, Global Logistics at Flexport, has been given to Flexport employees from at least 2019 to present, and is housed on 360 Learning.

B. Flexport's Failure to Disclose Documents Relied on by its Expert Witness Gary Kardian

423. D-2648, Kardian Expert Report; F-0116-17, RE: Peloton v. Flexport; Confidential Information; F-0141, Decl. of K. Little at 1.

424. The Kardian Expert Report only addresses liability Kardian does not provide any analysis or opinions regarding damages in this matter. *See generally* D-2648, Kardian Expert Report; B-3589, Kardian Dep. 145:3-22.

425. The Kardian Expert Report only contains analysis based on the original Complaint, filed May 3, 2024, and not the Amended Complaint, filed October 2, 2024. *See generally* D-2648, Kardian Expert Report.

426. On May 22, 2025, Peloton counsel took Kardian's deposition. B-3445, Kardian Dep. Tr.

427. During deposition, Kardian testified that he did not review all the allegations in the Amended Complaint and that his expert report was largely based on the original complaint. B-3588-89, Kardian Dep. Tr. 144:16-145:22.

428. The Kardian Expert Report also did not disclose the documents reviewed in support of his findings, a list of prior proceedings where he has testified as an expert, or the compensation he has received for participating in this proceeding. *See generally* D-2648, Kardian Expert Report; D-2684-2687, Kardian Expert Report, Ex. 1; D-2688-2722, Kardian Expert Report, Ex. 2.

429. Peloton raised these issues with Flexport via email on April 24, 2025. F-0116, RE: Peloton v. Flexport; Service of Court Document (April 24, 2025 12:25 pm email from C. Hand to R. Borak).

430. After receiving no response, Peloton followed up with Flexport via email on April 27, 2025, expressing concern that the failure to provide the additional supporting information

prejudiced Peloton's ability to respond to the Kardian Expert Report. F-0115, RE: Peloton v. Flexport; Service of Court Document (April 27, 2025 5:16 pm email from C. Hand to R. Borak).

431. Flexport served a supplement to the Kardian Report on April 28, 2025 (the "Kardian Supplement"). D-2723-2724, Kardian Supplement.

432. The Kardian Supplement referenced broad categories of materials allegedly relied upon, such as "multiple correspondence between Flexport and Peloton," but did not provide specific Bates numbers or otherwise identify the documents with particularity. D-2723, Kardian Supplement ¶ 12.

433. The Kardian Supplement report also failed to provide a list of prior proceedings where he has testified as an expert or the compensation he is received for participating in this proceeding. *See generally* D-2723-2724, Kardian Supplement.

434. To date, Flexport has not provided these items for the Kardian Expert Report as required by 46 CFR § 502.141. F-0141, Decl. of K. Little at 1.

435. During his deposition, Kardian disclosed for the first time that he relied on a "CORE document" to prepare his report and to access Peloton shipment data.

A: Well, the information what was in the system contained—I can't—I don't know that there—every shipment was in Core, but whatever was in Core matched up to a specific shipment. So, again, I didn't go through like, a thousand different things in Core. There's a lot of data in Core that's fed into there for each respective shipment. So I didn't have to log into it. It was already fed in there so I could view it.

Q: I guess—I think I'm a little confused. How did you access Core?

A: Core was in—it was like—I clicked on it. It was in the Dropbox.

B-2618, Kardian Dep. Tr. 174:9-11.

436. Prior to Kardian's deposition, neither the Kardian Report nor the Kardian Supplement disclosed the existence of the "CORE document" or whether it had been produced in

discovery. *See generally* D-2648-2683, Kardian Expert Report; D-2723-2724, Kardian Supplement.

437. Kardian expressly testified that the CORE document he reviewed was not a spreadsheet and not the Peloton Shipment Files, which are the only information Flexport has produced to Peloton from CORE. B-3595, Kardian Dep. Tr. 151:17-18.

438. Peloton has requested Flexport produce the CORE document or provide the applicable bates number of the document on May 23, 2025 and July 17, 2025. F-0120, May 23 Letter to Flexport Counsel; F-0138-40, Letter to Flexport re Discovery Deficiencies.

439. To date, Flexport has neither produced nor clearly identified the CORE document. Instead, Flexport counsel has only indicated that the document was previously produced, but failed to specify which materials were actually reviewed or relied upon by the expert. *See See* A-0151, Dkt. No. 71 (“To be absolutely crystal clear, the ‘link’ Kardian referred to was the Dropbox link which contained the documents sent to him by the undersigned. These documents – all of them – have been provided to Peloton in this litigation.”).

440. While Flexport provided a declaration from Tanner asserting that the ‘link’ to which Kardian referred has been produced, it did not provide such a declaration from Kardian nor the Bates number or any other identifying information for its alleged production. A-0142, Dkt. No. 71.

C. Flexport’s Failure to Appear for the Deposition of Peloton’s Expert, Greg Smith

441. On May 21, 2025, Flexport counsel requested availability of Peloton’s damages expert, Greg Smith, for deposition. F-0133-0134, RE: Peloton v. Flexport; Supplemental Expert Report (May 21, 2025 11:32 am email from R. Borak to K. Little).

442. Later that same day, Peloton counsel provide two available dates and requested that Flexport confirm as soon as possible so that travel could be arranged for Smith from New York to D.C. F-0133, RE: Peloton v. Flexport; Supplemental Expert Report (May 21, 2025 12:44 pm email from A. Skopec to R. Borak).

443. Flexport counsel responded, requesting additional dates due to conflict, which Peloton counsel promptly provided. F-0132-0133, RE: Peloton v. Flexport; Supplemental Expert Report (May 21, 2025 5:51 pm email from R. Borak to A. Skopec and K. Little and May 22, 2025 1:22 pm email from A. Skopec to R. Borak).

444. Two days later, after receiving no response, Peloton counsel emailed Flexport counsel again, requesting confirmation of the deposition, as there were only five business days left until the close of expert discovery. F-0131, RE: Peloton v. Flexport; Supplemental Expert Report (May 24, 2025 5:18 p.m. email from A. Skopec to R. Borak).

445. Three days after Peloton's email, in the last week of expert discovery, Flexport counsel notified Peloton counsel that he could not take Smith's deposition until June 3rd, one day after the close of expert discovery and requested confirmation. F-0130, RE: Peloton v. Flexport; Supplemental Expert Report (May 27, 2025 2:32 p.m. email from R. Borak to A. Skopec and K. Little).

446. Peloton responded the following day, May 28th, confirming Smith's availability for June 3rd and recommending the parties submit a joint submission given that the deposition was scheduled for outside the discovery period. F-0130, RE: Peloton v. Flexport; Supplemental Expert Report (May 28, 2025 4:01 p.m. email from A. Skopec to R. Borak).

447. Peloton arranged for Smith and counsel to travel to D.C. for the June 3rd deposition. F-0133, RE: Peloton v. Flexport; Supplemental Expert Report (May 21, 2025 12:44 p.m. email from A. Skopec to R. Borak).

448. Peloton counsel attempted to confirm the details of Smith's deposition with Flexport counsel on June 2 and multiple times on the morning of June 3. See F-0123-0128, RE: Deposition of Witness Greg Smith.

449. Flexport's counsel did not respond to any of these communications until 20 minutes before the scheduled start time of the deposition, at which time he indicated he would not be taking the deposition of Smith. F-0124, RE: Deposition of Witness Greg Smith (June 3, 2025 9:41 a.m. email from R. Borak to A. Luzwick).

450. Despite Peloton's counsel explaining that the Smith was present and prepared to proceed, Flexport counsel declined to appear for the deposition. F-0123-0124, RE: Deposition of Witness Greg Smith (June 3, 2025 10:06 a.m. email from A. Luzwick to R. Borak and June 3, 2025 10:36 a.m. email from A. Luzwick to R. Borak).

D. Flexport's Attempts to Intimidate and Harass Peloton's Expert Witness Richard Roche

451. Richard Roche served as Peloton's expert liability witness in this matter. D-0004, Roche Expert Report at 4.

452. Prior to Roche's deposition, Ryan Tanner, Senior Director of Compliance at Flexport, sent a letter to the National Customs Brokers & Forwarders Association of America ("NCBFAA"), a professional organization with which Roche has been affiliated and volunteered at for decades, purporting to raise concerns regarding Roche's role as an expert in this proceeding. B-3290-3291, B-3293, Roche Dep. Tr. 316:17-317:1, 319:21-22; D-3221-3226, Letter to NCBFAA.

453. In this letter, Tanner alleged, amongst other things, that “cloaked with NCBFAA credentials, Mr. Roche can go to the other side,” accused Roche of being a “hired gun” and violating a “duty of loyalty,” and called Roche’s expert opinion in these proceedings, “a disservice to Flexport and the entire industry.” C-3223, Letter to NCBFAA.

454. Tanner’s allegations triggered a formal investigation of Roche by the NCBFAA, casting a shadow over his longstanding professional standing. B-3294-3295, Roche Dep. Tr. 320:13-321:5.

455. Roche interpreted the letter as an “intimidation tactic designed to chill [his testimony]” and offered his resignation upon learning about the letter, which was rejected by the NCBFAA. B-3295, Roche Dep. Tr. 321:6-24.

456. Tanner states in the letter that “In utmost good faith, I felt it was appropriate to bring this to the attention of the NCBFAA. Flexport, since its start, has been an active association member. I thought I had always seen the NCBFAA as an advocate for its members and I really can’t understand how it is possible that, cloaked with NCBFAA credentials, Mr. Roche can go to the other side.” C-3223, Letter to NCBFAA.

457. He goes on to say: “From my perspective, Mr. Roche himself in his capacity as chairman, has been privy to multiple discussions, which included Flexport regarding business practices and issues in the industry, particularly D&D charges, container availability, issues with containers and FMC rule-making regarding D&D and OSRA.” C-3223, Letter to NCBFAA.

458. Roche did not engage in discussions related to Flexport’s business practices in his capacity at the NCBFAA. B-3309, Roche Dep. Tr. 335:21-25.

459. The letter then states: “For example, on August 3, 2023, I attended a subcommittee meeting where it was discussed that FMC Commissioner Dye asked for comments on addressing

supply chain bottlenecks, including container returns, notices of availability. As part of the agenda was Commissioner Bentzel asking for comments on marine transportation data initiative. In response, I forwarded to Mr. Roche the webinar that Flexport had had with Commissioner Bentzel on the topic in the spirit of teamwork for our industry.” B-3310, Roche Dep. Tr. 336:12-22; C-3223, Letter to NCBFAA.

460. “On June 5, 2024, I reached out to Mr. Roche to discuss OSRA disputes – particularly the requirements from certain carriers regarding acceptance of third-party data captures from companies – such as BlueCargo. This is a central issue in the litigation. Notably, I specifically asked Mr. Roche if the NCBFAA believed these requirements align with the intent of the regulations concerning disputes and asked if other members were having similar issues. Further, at this time, there were multiple discussions between Flexport and Mr. Roche about his company, Mohawk, doing business with Flexport.” C-3223-3224, Letter to NCBFAA.

461. Roche recalled discussing OSRA disputes but did not discuss BlueCargo. B-3313, Roche Dep. Tr. 339:10-21; C-3223-3224, Letter to NCBFAA.

462. Tanner then states: “However, in great deference and respect to the Association, I felt compelled to raise this issue to you first. One can only imagine how the Association’s credibility can quickly fall if its leaders use it as a springboard to be hired guns against its members. I also feel compelled to let other members know that apparently, there is no safe space in having open discussions within the NCBFAA or any of its sub-committee meetings.” B-3315, Roche Dep. Tr. 341:19-342:14; C-3224, Letter to NCBFAA.

463. Roche would not endorse a finding or opinion that he disagreed with, stating “I’m giving the opinion of all of my years’ worth of being involved with demurrage and detention, as

I've testified many different times today. And I just think that that's a big intimidation factor right there. I'm not a hired gun. I'm speaking truth." B-3316, Roche Dep. Tr. 342:2-11.

464. Prior to Roche's deposition, Peloton counsel sent Flexport counsel a letter expressing concerns over the letter and the apparent attempt at witness intimidation. In that letter, Peloton also demanded that Tanner not attend Roche's deposition to avoid furthering the attempt to influence Roche's testimony. F-0145, May 28 Letter to Flexport re Letter to NCBFAA.

465. At the start of Roche's deposition, Tanner logged on just as the parties went on the record, although he is not an attorney and does not hold a role that would typically require attendance at a deposition. B-2979, Roche Dep. Tr. 5:9-13.

466. No prior notice was given to Peloton's counsel that Tanner would be attending Roche's deposition. B-2294, Roche Dep. 20:10-15.

467. Upon recognizing Tanner's presence, Peloton's counsel attempted to address how Tanner's presence furthered the apparent attempts at witness tampering. B-2980-2981, Roche Dep. Tr. 6:10-7:7.

468. In response, Flexport counsel dismissed Peloton's concerns as "naïve," "laughable," "nonsensical," and "ridiculous," and refused to give counsel the opportunity to address the issue with the ALJ prior to proceeding with Roche's deposition. B-2985-2986, Roche Dep. Tr. 11:6, 12, 23, 12:5.

469. Flexport counsel insisted on proceeding with the deposition and would not allow Roche to take a break to discuss the issue with counsel. D-2725, Video (16:43-17:00); B-2995, Roche Dep. 21:3-9 ("Yeah, you are done, you're finished. I am going to start asking the witness - please sit down. Please stop. Stop your tyranny. I'm ready to ask questions. If you want to stop the deposition and you want to instruct the witness to not answer questions, that's your

prerogative.”); D-2725, Video (18:36-19:00), B-2997, Roche Dep. 23:8-10 (“Mr. Roche, please put your mic on right now. He's been sworn in under oath.”).

470. Flexport’s counsel further addressed Roche’s concern by making statements regarding Tanner’s presence and Roche’s ability to participate in the deposition:

Mr. Borak: We are ready to proceed. If you are going to risk sanctions by refusing to proceed with the deposition because Mr. Tanner is here, that's your prerogative. Mr. Lee is here too. He’s from Flexport. **Is Mr. Roche scared of Mr. Tanner** only but not for anyone else at Flexport? He looks like he’s a decent guy. I think he went to – I’m sorry -- the marine academy or some form of military school which I believe you did as well. I think he can handle himself. **He looks like a strong strapping fellow. So I fail to see how Mr. Tanner sitting there in an office muted can somehow intimidate anything that’s going to happen here because the questions are going to be the same, believe me. He should be intimidated by us, not Mr. Tanner.** Because the questions we’re going to be asking are referring to his report and everything in there. You have no position here at all.”

D-2725, Video (13:45-15:55); B-2992, Roche Dep. 18:14-20:1.

471. During the deposition, Flexport’s counsel referred to Peloton’s counsel as “pathetic” and accused Peloton’s counsel of using a “code” to “tip” Roche. D-2725, Video (1:01:20-1:04:00); B-3109, Roche Dep. 135:12-18 (“you obviously have a code that you’ve orchestrated this witness to tip him off on a question where he has had trouble because it's come up every time. So please stop. It’s so transparent, it’s pathetic, so please stop interrupting me. This is a cross-examination of an expert witness”).

472. During the deposition, Roche stated for the record that his answers were his own and that there was no “code” involved in his responses. D-2725, Video (1:01:20-1:04:00); B-3111, Roche Dep. 137:2-10.

473. Tanner remained present throughout Roche’s deposition. B-2976, B-2979, Roche. Dep. 5:9-13.

XIII. PELOTON'S DAMAGES AND PRAYER FOR RELIEF

474. Peloton suffered direct damages of over \$30 million in D&D charges improperly invoiced in connection with Flexport's store door transportation of Peloton Containers in violation of the Shipping Act. A-0042, A-0047, Am. Compl. ¶¶ 33, 59.

475. Exhibit A was submitted with Peloton's Verified Amended Complaint and "identifies invoices and D&D charges assessed by Flexport for Peloton containers," representing a compilation of Peloton's direct damages claimed in this proceeding. A-0042, Am. Compl. ¶ 30.

476. Each of the charges claimed in the instant proceeding was paid in full by Peloton. D-1441, Smith Expert Report ¶ 29.

477. Exhibit A represents the \$33.7 million in damages invoiced to and paid by Peloton for inland transportation wrongly assessed by Flexport. D-1432, Smith Expert Report ¶ 8; D-1469-1589 Smith Expert Report Ex. 1.

478. The Supplemental Smith Expert Report, which was created by reviewing the entries in the Peloton Events Download Spreadsheet for each FLEX-ID listed in Exhibit A, identified charges which were solely attributable to Peloton fault, and charges which were attributable to both Peloton and Flexport fault, totaling \$1.9 million in maximum potential Peloton fault. D-1727, Smith Sup. Expert Report, Ex. 4; D-1664-1665, Smith Supp. Expert Report ¶¶ 16-17.

479. In other words, there was no evidence of Peloton responsibility for \$31.9 million of the charges claimed in this proceeding. D-1665, Smith Supp. Expert Report ¶ 17.

480. Accordingly, at a minimum, Flexport wrongfully charged Peloton \$31.9 million in unreasonable D&D charges in violation of the Shipping Act. D-1727, Smith Supp. Expert Report, Ex. 4; D-1660, D1666, Smith Supp. Expert Report ¶¶ 8, 20.

XIV. FLEXPORT ADMISSIONS

481. Flexport Founder and CEO, Ryan Petersen, described the freight forwarding business as “an old school industry.” *See Flexport’s Ryan Petersen on returning as CEO, global logistics in a time of conflict & more*, E1881, 00:36:01, <https://www.youtube.com/watch?v=8SRCW3ls69k&t=3097s>.

482. Ryan Petersen also differentiates Flexport from “traditional” freight forwarders because it is a technology platform. *Id.* at 00:36:15-:27.⁹

483. Petersen also recently admitted to known issues in Flexport’s estimated delivery dates going back years that caused customer delays, stating:

One of the main pieces of negative feedback we've gotten over the last year has been that - and really probably going back much further than that --is that our estimated delivery dates are not trustworthy and that that causes problems. You can imagine why, you all know why, running a warehouse or running a business you need to know when of these goods are showing up so you can sell them, so that your team is ready to inbound them.¹⁰

484. Similarly, Flexport’s communications with other major ocean carriers and truckers are inexplicably sparse, and it has failed to produce any communications from certain internal platforms, despite evidence that such platforms were used for communications regarding Peloton Shipments.¹¹

⁹ *Flexport CEO on Tariff Drama, Supply Chain Conspiracies, and Hard-Earned CEO Wisdom*, 00:58:39, <https://www.youtube.com/watch?v=ab4xNHw-yGk> (“That’s kind of what’s unique about Flexport. We’re like tech plus human”) (Q: “Can you explain what Flexport does?” A: “Flexport is a technology platform for global logistics”); *see also Flexport’s Third Act: Winning in a Broken Global Trade System*, 00:07:58, www.youtube.com/watch?v=p0m8IyT-xFU (“Unlike a traditional forwarder, we’re doing all that coordination, not by email, we actually have built integrations and processes, technology to make that simple. So you get a single pan of glass, where’s my stuff, when is it gonna arrive, better estimates for your transit time, SKU level, inventory level visibility...”).

¹⁰ *The Future of Logistics 2025 Winter Product Release*, 00:18:03, <https://www.youtube.com/watch?v=r6sRzuDH8N8> (last visited August 4, 2025).

¹¹ *See Starting & Scaling Flexport with Ryan Petersen EM Group Chat #166*, 00:11:00, <https://www.youtube.com/watch?v=eaxelB-mKs> (last visited August 4, 2025) (“So for example

485. Flexport’s CEO has described Flexport’s end-to-end operations this way:

People hire Flexport to move products around the world and move inventory. Business help—we help businesses ship cargo all over the world, so – and it is that complex coordination, so if you’re a brand, you’re you know, a company that makes these glasses, you don’t want to have to deal with all those different vendors, you just hire Flexport and we execute the transaction end to end. And unlike a traditional forwarder we’re doing all that coordination not by email, we actually have built integrations and processes – technology to make that simple, and so you get a single pane of glass where’s my stuff, when is it going to arrive, better estimates for your transit times, sku level inventory level visibility, where’s my stuff, and great pricing because of our now—because of our scale.¹²

486. Finally, Flexport explicitly marketed itself as its customers’ “end-to-end supply chain,” exercising comprehensive control over both ocean and inland transportation. On its website, Flexport touts itself as “the platform that coordinates global logistics from factory to customer door – empowering businesses to ship anywhere, sell everywhere and grow faster.”

with our Trucking technology we did that like fully manual for the first three years of our business or so where we would just email truckers and assign loads to them by email and then they'd deliver them and they'd communicate back to us and our team would sort of update the app that kept the customers informed.. then we developed a software application for them with mobile app for their drivers and a dispatcher app that allows them to assign the loads to the drivers...”

¹² Flexport’s Third Act: Winning in a Broken Global Trade System, 0:07:53, <https://www.youtube.com/watch?v=p0m8lyT-xFU> (last accessed August 4, 2025).

Dated: August 14, 2025

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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